

WEST OF ENGLAND MAYORAL COMBINED
AUTHORITY

CONSTITUTION

PART B

CONTENTS

PART B

FINANCIAL REGULATIONS – ENDORSED JANUARY 2025	B1
CONTRACTING RULES – JUNE 2020	B73

West of England Mayoral Combined Authority

Financial Regulations

July 2024 (review)

Table of Contents

Section	Details	
1	Introduction	B1
2	Financial Management – Roles and Responsibilities explained	B2
3	Internal Audit	B7
4	Risk Management	B9
5	Fraud Prevention	B11
6	Budget Management and Control	B13
7	Revenue Budget Preparation	B16
8	Capital Expenditure	B19
9	Treasury Management (Investments and Borrowing)	B21
10	Accounting Systems and Processes	B22
11	Payroll	B24
12	Ordering & Paying for Works, Goods & Services	B26
13	Income Collection	B29
14	Bank Accounts, Banking & Cash Handling	B31
15	Asset Management	B33
16	Asset Leasing	B35
17	Insurance	B36
18	VAT	B38
19	‘Employee’ Interests, Gifts and Hospitality	B40
20	Corporate Purchasing Cards	B43
21	International Travel	B45
22	Commissioning & Procurement	B47
23	External Arrangements Partnerships	B48
24	External Funding	B51
25	Work for Third Parties	B52
	Appendix 1: Scheme of Delegation	B54

Section 1 – Introduction

Why do we need Financial Regulations?

Stewardship of the Mayoral Combined Authority (MCA) finances requires high standards of financial integrity and accountability. The Financial Regulations define the boundaries within which we operate to effectively manage risk. They clarify roles and responsibilities and provide a framework for decision making.

All large organisations have a set of rules to regulate their finances and to protect the interests of their stakeholders and staff. However, the rules themselves are not of any use unless they are known and understood.

Who should read and understand Financial Regulations?

The MCA's Section 73 Officer, as the MCA's statutory Chief Finance Officer is ultimately responsible for ensuring the proper administration of the MCA's financial affairs. These regulations form part of the arrangements that the MCA's Section 73 Officer has put in place to discharge their statutory responsibilities and compliance is required by Members, Officers and other individuals carrying out work on behalf of the MCA.

Senior Officers and managers are responsible for bringing the regulations to the attention of every member of staff, providing the necessary training and monitoring compliance.

Any known breaches of Financial Regulations must be reported to the Chief Finance Officer (Section 73 Officer- Local Government Act 1985). Failure to comply with Financial Regulations and Codes of Practice will be subject to investigation and may result in disciplinary action.

Codes of Practice

The Financial Regulations must be read in conjunction with the various MCA Policies, Financial Standards and Codes of Practice, which provide details of the processes, procedures and controls, and which must be adhered to.

The Financial Regulations will be found on the MCA Web site.

Compliance

Senior Officers and Managers are responsible for ensuring that all staff (including non-permanent staff) in their service areas are aware of the existence and content of the MCA's Financial Regulations and other internal regulatory documents and that they comply with them.

Maintenance

The Chief Finance Officer is responsible for maintaining a continuous review of the financial regulations and submitting any additions or changes necessary to the MCA Committee for approval. He / she may issue advice, guidance and procedures to underpin the financial regulations that members, officers and others acting on behalf of the MCA are required to follow.

Section 2 - Financial Management Roles & Responsibilities explained

The MCA's Financial Regulations, Budget Management Scheme and the Codes of Practice on Matters of Financial Administration (including Officers' Code of Conduct) are bound separately but form part of the formal Constitution of the MCA. The MCA's Constitution is accessible through the MCA website.

Sound financial management is critical to the MCA in successfully achieving its plans, objectives and quality standards. Financial management is essential in order to:

- plan and maintain effective use of resources to achieve agreed service delivery standards;
- comply with legislation, related professional Codes of Practice and accounting standards;
- provide accurate, complete and valid accounts and information which demonstrate accountability to the public;
- ensure the appropriate use and security of financial and physical assets;
- help the MCA conduct its affairs in an efficient, effective and economic manner.

Financial management is, therefore, concerned with the policies, processes, procedures and standards of the MCA. Within this context the key areas of responsibility, and associated specific financial regulations, are as follows:

MCA Members	Approve Financial Regulations and Contract Standing Orders. Set the overall budget framework and monitor performance against agreed targets. Provide the reporting framework to monitor the achievement of MCA objectives within the resources allocated. Determine the level of responsibility for financial management given to Chief Officers and managers.
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Audit Committee	The MCA has delegated to the Corporate Audit Committee its powers and duties relating to the following matters: A) To consider and approve for publication on behalf of the MCA, the Annual Accounts in accordance with the Accounts and Audit Regulations and any other relevant legislation or statutory guidance. B) To consider the Annual Governance Statement and Action Plan in accordance with the Accounts and Audit Regulations and any other relevant legislation or statutory guidance and make recommendations on this to the MCA Committee or other appropriate body. C) To promote good governance arrangements within the MCA and in its dealings with partner bodies and contractors, including compliance with legal and professional standards, in accordance with the Code of Corporate Governance. D) To agree the MCA's External Audit Plan and proposed fees, within the budget agreed by the MCA, and to monitor the delivery of that Plan. E) To agree the Internal Audit Plan, within the budget agreed by the MCA Committee, to monitor its delivery and effectiveness and to consider and make recommendations on any significant matters arising from Internal Audit work. F) To approve the MCA's statutory accounting statements and policies.
Chief Executive/Head of Paid Service	Provides strategic management and establishes a framework for management direction, style and standards. Secures a process for resource allocation that ensures due consideration of policy. Monitors the performance of the MCA.
Chief Finance Officer (S73)	Carries out the statutory role of Chief Finance Officer (S73 Officer)

	(a) The proper administration of the MCA's financial affairs and advising on effective systems of internal control. (b) Setting and monitoring compliance with financial management standards. (c) Issuing advice, guidance and procedures to underpin the financial regulations. (d) Determining the accounting procedures and financial records for the MCA. (e) Selecting accounting policies and ensuring that they are applied consistently. (f) Advising on the corporate financial position and on the key financial controls necessary to secure sound financial management. (g) Providing financial information. (h) Preparing the revenue budget, supplementary revenue estimates and capital programme. (i) Treasury management. (j) The preparation and consolidation of the MCA's accounts (k) Reporting to the MCA Committee on the robustness of the annual budget. (l) Report to the MCA Committee and external auditor if the MCA or one of its officers : • has made, or is about to make, a decision which involves incurring unlawful expenditure. • has taken, or is about to take, an unlawful action which has resulted or would result in a loss or deficiency to the MCA.
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	• is about to make an unlawful entry in the MCA's accounts.
Senior Officers /Managers	Establish clear accountabilities for all officers that include objectives of and responsibility for systems and information. Implement processes for considering the financial effects of policy and relating policy to resources. Monitor the delivery of policy and the use of resources, ensuring that appropriate action is taken where there is a mismatch. Clearly understand the consequences of a lack of control and ensure that Officers have effective procedures for safeguarding the Authority's resources. Operate processes to check that established internal controls are in place and evaluate their effectiveness.
Monitoring Officer	Carries out the statutory role of Monitoring Officer. The Monitoring Officer reports to the MCA Committee if a contravention of law, Code of Practice or any maladministration has arisen through any decision or omission by the MCA, by any Member, Officer or representative of the MCA.
Internal Auditor	Provide an independent Internal Audit Service which has unfettered access to the Chief Executive and Senior Management and is able to access all relevant records and information within the MCA to carry out its role. Provide independent, objective assurance / advice to management on the operation of internal controls (including financial) to improve an organisation's operations. Provide an annual opinion on the framework of internal control and risk management. Investigate on behalf of the organisation any suspected financial irregularities or misuse of resources and ensure that

	there is a system in place to allow staff, contractors or the public at large to report serious concerns confidentially. Grant claim certification
External Audit	Report on whether the MCA's accounts and statements present fairly the Authority's financial position. Report on whether the MCA has put in place proper arrangements for securing economy, efficiency and effectiveness in its use of resources. This is known as the Value for Money (VfM) conclusion.
All Employees	Have a responsibility for following Financial Regulations and other MCA policies & adopted regulations (including Contract Standing Orders, Code of Conduct) and Service specific instructions. Help the MCA achieve open and honest administration by supporting approved fraud prevention strategies and avoiding potential conflicts of interest. Assist the MCA's audit processes. Keep accurate and comprehensive records to support the transactions undertaken on the MCA's behalf.

Section 3 – Internal Audit

Why is this important?

The purpose of this section of the regulations is to highlight the authority delegated to the MCA's Internal Auditor (term used by the Public Sector Internal Audit Standards), when reviewing the accounting and financial arrangements within the MCA.

Statutory Requirements:

The Accounts and Audit Regulations 2015, Part 2 (5), require that a “relevant authority must undertake an effective internal audit to evaluate the effectiveness of its risk management, control and governance processes, taking into account public sector internal auditing standards or guidance.”

Section 73 of the Local Government Act 1985 states that an authority “shall make arrangements for the proper administration of its financial affairs and shall secure that one of its officers has responsibility for administration of those affairs.”

Objectives & Role of Internal Audit:

Accordingly, Internal Audit is an independent and objective appraisal function established by the MCA for reviewing the system of internal control. It examines, evaluates and reports on the adequacy of internal control as a contribution to the proper, economic, efficient and effective use of resources.

1. The organisation is responsible for maintaining an adequate and effective internal audit of the accounting and financial transactions, including any operations that affect the financial arrangements of the MCA.
2. Internal Audit is independent in its planning and operation.
3. Internal Audit complies with the United Kingdom Public Sector Internal Audit Standards.
4. The Internal Auditors, shall have authority to:
 - a) Enter at any reasonable times, any operational or administrative MCA premises or land and have access to all MCA property.
 - b) Have access to (and where necessary to copy or retain) all records whether manually or electronically held, documentation, correspondence and computer systems relating to any transaction of the MCA, or non-official funds operated by MCA staff,
 - c) Require and receive such explanations as are necessary concerning any matter under examination,

- d) Require any employee of the MCA to produce or account for cash, stores or any other property under their custody or control,
 - e) Examine any work or services carried out for the MCA by an employee or contractor, and any goods purchased on behalf of the MCA,
 - f) Review appraise and report on the soundness, adequacy and application of internal controls. This includes those controls to protect MCA resources, property and assets from loss / waste.
5. The MCA's Internal Auditors shall have direct access and the right of report to the MCA Committee, the Chief Executive, Monitoring Officer, Chief Finance Officer, the External Auditor, Chair of the Audit Committee and Chair of the Overview and Scrutiny Committee, where appropriate.

Section 4 – Risk Management

Why is this important?

Risk management is an integral part of the corporate governance framework for Local Government. This is detailed in the MCA's Local Code of Corporate Governance which is reviewed annually and reported in the MCA's Annual Governance Statement.

The MCA's Corporate Risk Framework sets out the process and activities the MCA undertakes, and the roles and responsibilities for all staff, to ensure that key risks to the delivery of its strategic objectives are identified, managed, and monitored.

Objectives of risk management processes:

- Protecting and adding value by supporting the achievement of MCA Strategies.
- Improved strategic, operational and financial management.
- Contributing to more efficient use/allocation of resources.
- Mitigation of key threats and taking advantage of key opportunities.
- Protecting and enhancing assets and image.
- Improving decision-making (making the right decisions).
- Safeguarding of tangible and intangible assets.
- Promotion of innovation and change.
- Optimising operational efficiency and therefore delivering efficiency gains and value for money.
- Allocating time and management effort based on formal assessment of threats and opportunities.
- Strengthened contingency planning
- Providing confidence in our ability to achieve our objectives

Key Responsibilities for Staff & Members:

1. MCA Members gain an understanding and promote risk management and its benefits throughout the MCA & its partners, ensuring Members take risk management into consideration when making decisions.
2. MCA Members oversee the effective management of risk throughout the MCA and its partnerships, and gain an understanding of its benefits, ensuring officers develop and implement a comprehensive approach to risk management.
3. The Audit Committee provides independent assurance of the risk management framework and associated control environment, independent scrutiny of the MCA

and partners financial and non-financial performance and oversee the financial reporting process.

4. The MCA is responsible for approving the risk management strategy and promoting a culture of risk management and awareness throughout the MCA.
5. The MCA Corporate Leadership Team gain an understanding and promote the risk management process and its benefits, oversee the implementation of the risk management strategy and agree any inputs and resources required to support the work corporately.
6. Senior Officers ensure that the risk management process is promoted, managed and implemented effectively in their service areas within the organisation; there is liaison with external agencies to identify and manage risk; and that relevant information is disseminated to all employees.
7. The Governance Board manages and advises on all aspects of corporate governance, monitor the Corporate Risk Register and agree formal report for Audit Committee. The Senior Information Risk Officer (SIRO) has management and oversight of information risk aspects and compliance reviews.
8. Managers raise awareness, manage and implement the risk management process effectively in their areas of responsibility, recommending any necessary training for employees on risk management. This includes incorporating risk ownership through the appraisal scheme with employees and sharing relevant information with colleagues in other service areas.
9. All employees of the MCA manage risk effectively in their jobs, liaising with their line manager to assess areas of risk in their job. They should identify new or changing risks in their job and feed these back to their line manager.
10. The Internal Auditors challenge the risk management process, including the identification and evaluation of risk and provide assurance to Officers and Members on the effectiveness of controls.
11. The Chief Finance Officer supports the MCA and its services in the effective development, implementation and review of the MCA's risk management processes. This includes identifying and communicating risk management issues to services, and assisting in undertaking risk management activity through training or direct support.

Section 5 – Fraud Prevention

Why is this important?

“Keeping our House in Order” – The MCA’s Fraud Prevention Statement

We all have a special responsibility for dealing with public funds and assets. The MCA controls millions of pounds of public money and we must take very seriously the high expectations of the public and the degree of scrutiny to which the affairs of the MCA are subject.

The MCA acknowledges the responsibility it has for the administration of public funds and wishes to emphasise to the public and its staff the importance it places upon probity, financial control and transparency in its administration.

The MCA is committed to prevention, deterrence, detection and investigation of all forms of fraud and corruption.

The MCA recognises that fraud and corruption undermine the high standards of public service, which it promotes, and reduces the resources available for the good of the whole community.

The statement applies to all Members and employees of the MCA and demonstrates to the community of the MCA our commitment to combating fraud and corruption wherever it is found.

The Fraud Prevention Statement – Key Principles:

Leading by example, our MCA will ensure that:

- Everyone within the organisation takes responsibility for the prevention and detection of fraud and corruption.
- There is compliance with key policies and procedures.
- Fraud is not tolerated and that all such cases are thoroughly investigated.
- All officers and Members have proper training and guidance regarding anti-fraud and corruption issues.
- High standards of internal control are promoted.
- There is a safe environment to report suspected cases of fraud and corruption.
- Rigorous action is taken against anyone found guilty of fraud or corruption. This will be through the MCA’s disciplinary process and by taking legal action as appropriate.

Key Responsibilities for Members and Staff:

1. Senior Officers are responsible for the prevention and detection of fraud, error and wasteful practices within their Service environment.
2. They must inform the Chief Finance Officer immediately of any suspected financial irregularity.
3. The MCA's Chief Finance Officer shall report to the Chief Executive and the Monitoring Officer any circumstances which could involve the MCA in unlawful expenditure or action which could result in a potential loss or deficiency to the MCA or unlawful entries in the accounts.
4. All employees have an important part to play in reporting concerns about wrong doing at work by other employees, Members, suppliers, contractors or others acting on behalf of the MCA.
5. In this respect, employees are under a duty to assist with the discharge of these responsibilities by reporting to their managers, or through the MCA's Whistleblowing Policy, any instance where financial irregularity is suspected.
6. Abuse of the Whistleblowing Policy by raising malicious, unfounded allegations will be treated as a serious disciplinary matter.
7. In addition, the MCA has a legal duty to implement a procedure to enable the reporting of suspicions of money laundering. Accordingly, any Member or employee, who in the course of MCA business becomes aware that criminal property or funds could be involved, should report their suspicion promptly, in accordance with the Anti-Money Laundering Policy. Failure to do this may result in a criminal offence being committed.
8. The UK Bribery Act, 2010 which came into force on the 1st July 2011 introduces a corporate offence of failure to prevent bribery. The three key offences under the Act which may have an impact on the authority are:
 - Bribery of another person
 - Accepting a bribe
 - Failing to prevent bribery

The offences carry criminal penalties for individuals and organisations. Individuals can be imprisoned for up to a maximum of ten years. Both individuals and organisations can be subject to an unlimited fine.

The Act states that organisations will be responsible for their employees' corrupt acts unless they can show they had adequate policies and procedures in place to combat bribery.

Staff are responsible for the prevention, detection and reporting of bribery and other forms of corruption. If any member of staff or MCA Member has concerns regarding a suspected instance of bribery they must refer to the MCA's Whistleblowing Policy and report the matter.

Section 6 - Budget Management and Control

Why is this important?

Budgets (spending plans) are needed so that the MCA can plan, monitor and control the way resources are allocated and spent. Budgets reflect MCA priorities and give authority to approved officers to incur expenditure to meet objectives and targets.

Budget management ensures that once the budget has been approved by the full MCA, resources allocated are used for their intended purpose and are properly accounted for. Budgetary control is a continuous process, which reviews and manages spending against budget during the financial year. In addition, it provides the mechanism that calls to account managers responsible for defined elements of the budget.

The purpose of the Budget Management Scheme rules

- a) To ensure that income and expenditure are in line with the agreed MCA budgets and service plans (consistency of purpose),
- b) Overall Financial control of MCA income and expenditure.

The implications of poor budget management

1. The MCA may not be operating within the law;
2. Policies and objectives may not be achieved;
3. Resources may not be used in accordance with agreed authority;
4. Failure to secure value for money (efficient & effective use of resources);
5. Decisions made without the benefit of full or appropriate information;
6. Inability to take appropriate action at the right time.

Key requirements for budget management and control

Section A: Revenue Budgets:

- Budget approval is required for all expenditure.
- The Chief Executive and Senior Officers have overall responsibility for the delivery of the strategic objectives for their areas of responsibility and thus have a responsibility for effective performance monitoring of managers on matters of budget management.
- Managers are responsible for Budget Management.
- Each Manager will develop and maintain effective arrangements for financial management within their Service area.

- Each Manager will nominate a Budget Manager to be responsible for each cost centre heading.
- Budget Managers accept accountability for their budgets and the level of service to be delivered and understand their financial responsibilities.
- Budget Managers follow an approved certification process for all expenditure.
- Income and expenditure must be properly recorded and accounted for by all Budget Managers. This is achieved by ensuring the accurate use of accounting codes and timely monitoring of financial information.
- Budget Managers are responsible for maintaining a current forecast of their budget and communicating this to their Finance Team. Where a Variance, the difference between forecast and budget, is recurrent this should be identified for future correction.
- Services are to be managed within their budgets using financial forecasting, virement and carry forward, as appropriate.
- Expenditure is committed only against an approved budget head.
- Any virement which has the effect of changing a policy contained in the Policy Framework must be approved by the MCA Committee.
- The Chief Executive may, in consultation with the MCA Mayor and s73 Officer, approve revenue virements between MCA Approved Budget heads up to an individual virement limit of £50,000 up to an annual limit of £100,000 provided that the virement does not represent a change in policy or commit the MCA to net increased costs either within year or on an on-going full year basis.
- The MCA Directors may, in consultation with the s73 Officer, approve virements between MCA Budget heads within their areas of direct responsibility up to an individual virement limit of £10,000 up to an annual limit of £25,000
- All virements approved within the delegations above must be reported for information to the West of England MCA Committee through the next available Outturn Budget Report.
- Any potential overspending that cannot be managed by Virement must be identified to the Chief Executive and Chief Finance Officer immediately.
- Any MCA earmarked reserve set aside by MCA for a specific purpose may not be spent on any other purpose without the permission of the MCA Committee.
- The Corporate Leadership Team will receive monthly finance reports detailing projected end of year spend compared with approved budget.
- The MCA Committee will receive budget monitoring reports (including capital monitoring) at its quarterly public meetings.
- The MCA Committee is required to approve the outturn position in July following the financial year end.

Section B: Capital Budgets:

- The Chief Finance Officer is responsible for budget management of all capital schemes (including major and other projects), but all capital schemes must have a designated responsible Budget Manager.
- Before any scheme is included in any programme, budget management responsibility must be assigned.
- The Capital Programme is agreed by the MCA Committee as part of its annual budget setting process and includes both approved and indicative capital schemes.
- The PMO Handbook provides a standard management framework for all infrastructure projects and programmes, and provides specific standards for the management and control of projects.
- With effective budget planning and management, the risk of overspending or slippage should be highlighted at an early stage and managed appropriately. The Budget Manager is responsible for making proposals for the avoidance or recovery of any overspending to the Chief Finance Officer in the first instance.
- Capital schemes must have a review and reporting process. For example, the Corporate Leadership Team meeting will receive reports of progress in order to focus on the key issues and project spend, and associated funding and revenue implications.
- The MCA Committee will approve a sum that is to be set aside to reflect the overall risk from capital projects it has approved (a capital contingency)
- Senior Officers will be responsible for ensuring the principles of this scheme are understood and enforced within their Service areas.

Carry forward of unspent budgets

- The carry forward of unspent budget due to slippage from one budgetary year to the next will be determined by the Chief Finance Officer (S73).
- All carry forward decisions within the delegations above must be reported for information to the West of England MCA Committee through the next available Outturn Budget Report

Section 25 Statement

Section 25 of the Local Government Act 2003 places requirements on the Section 73 Officer in determining the MCA's budget for the forthcoming financial year to report on the robustness of the estimates made for the purposes of the calculations and on the adequacy of the proposed financial reserves.

Section 7 – Revenue Budget Preparation

Why is this important?

The MCA is responsible for delivering a variety of objectives, outcomes and services. It needs to plan effectively and to develop systems to enable scarce resources to be allocated in accordance with carefully weighted priorities.

The revenue budget must be constructed so as to ensure that resource allocation properly reflects the plans and priorities of the MCA. Budgets (spending plans) are needed so that the MCA can plan, authorise, monitor and control the way money is allocated and spent. It is illegal for the MCA to budget for a deficit. All key decisions on revenue expenditure must be made by the MCA Committee.

The format of the budget determines the level of detail to which financial control and management will be exercised. The format shapes the rules around how virements / journals operate, the operation of cash limits, and sets the level at which funds may be reallocated within budgets.

A report on new proposals should explain the full financial implications, following consultation with the Chief Finance Officer. Senior Managers must present a balanced budget and plan to contain the financial implications of such proposals within their budget.

Key Responsibilities for Members and Staff:

1. Specific budget approval is required for all expenditure.
2. Budget holders are consulted in the preparation of the budgets for which they will be held responsible and accept accountability within delegations set by the Chief Executive for their budgets and the objectives to be delivered. Key developments and efficiencies are included in delivery plans (for subsequent monitoring) and individual employee's Performance Development Review.
3. Preparation of the budget complies with all legal requirements.
4. The format complies with the requirements of the Chief Finance Officer and, where necessary, has regard to relevant accounting standards.
5. The format reflects the accountabilities of delivery and outcomes
6. The Chief Finance Officer will:
 - (a) Advise the MCA Committee on the format and timing of the budget to be approved by the MCA Committee.

- (b) Prepare and submit reports on budget prospects for the MCA Committee, including resource constraints. Reports should take account of medium-term prospects, where appropriate.
- (c) Determine the detailed form of revenue budgets and the guidelines for their preparation after consultation with the MCA Committee and the Corporate Leadership Team.
- (d) Prepare and submit reports to the MCA Committee on the aggregate spending plans and of the resources available to fund them, including identifying the level and implications of any levy or contribution to be requested from the constituent councils.
- (e) Advise on the medium-term implications of spending decisions.
- (f) Encourage the best use of resources and value for money by working with the Corporate Leadership Team to identify opportunities to improve economy, efficiency and effectiveness, and by encouraging good financial management practice.
- (g) Determine the guidelines for the carry forward of unspent budget between financial years for both revenue and capital budget headings.

7. Senior Managers will:

- (a) Prepare draft budgets of income and expenditure, in consultation with the Chief Finance Officer, to be submitted to the MCA Committee.
- (b) Prepare draft budgets that are timely, balanced and consistent with any relevant cash limits, and with guidelines issued by the Chief Finance Officer. The format should be prescribed by the Chief Finance Officer, in consultation with the MCA Committee.
- (c) Integrate financial and budget plans into service delivery planning, so that budget plans are reflected, where appropriate, by financial and non-financial performance measures.
- (d) In consultation with the Chief Finance Officer and in accordance with the laid-down guidance and timetable, prepare detailed draft revenue and capital budgets for consideration by the MCA Committee.
- (e) When drawing up draft budget requirements, Senior Managers will have regard to:
 - spending patterns and pressures revealed through the budget monitoring process
 - targets for growth/reduction set out in the medium-term financial plan
 - implications of changes in external funding
 - legal requirements
 - other policy requirements as defined by the MCA in the approved policy framework

- initiatives already under way.

The Combined Authorities (Finance) Order 2017 sets out the process for the setting of the mayoral budget as follows:

1. Each year, the MCA mayor is to prepare a draft budget for the mayor's general functions by 1 February.
2. The MCA Committee is then to consider and report on the draft budget by 8 February. That report is to include any changes the MCA Committee thinks the mayor should make to the draft budget.
3. The mayor will then decide whether to make all, some, or none of the changes recommended by the MCA Committee.
4. The MCA Committee may then approve the mayor's draft budget, containing any revisions the mayor has chosen to make, or replace the draft budget with one containing the MCA Committee's amendments.
5. Any vote to agree a budget other than that proposed by the mayor may only be carried by a majority that is two-thirds or more of the MCA Committee.
6. If the mayor fails to present a draft budget to the MCA Committee by 1 February, the MCA Committee must determine the relevant amounts and calculations itself.
7. If the MCA Committee cannot agree the budget by a two thirds majority then they will need to agree a revised budget
8. The Order provides for the mayor to maintain a fund for receipts and expenditure related to mayoral functions, ensuring costs are transparently attributable to the mayor.
9. The Order also provides for transparency and accountability for decisions, by requiring that the names of those MCA Committee members voting, and the nature of their votes, including abstention, must be recorded in the minutes of the meeting at which the MCA Committee's decision on the mayoral budget is taken.
10. In the case of the West of England, Government has agreed with the area that the mayor would not have the power to raise funds by a precept.

Transport Levy

The West of England Combined Authority Order 2017 sets out the Transport functions that may be funded out of the levy issued by the MCA to the constituent councils under S74 of the Local Government Finance Act 1988 (levies)(17) and in accordance with the Transport Levying Bodies Regulations 1992(18).

The amount of any levy to be met by the constituent councils requires a unanimous vote in favour at a meeting of the MCA Committee at which all members are present, and should be set before 15th February of the preceding year.

Section 8 – Capital Expenditure

Why is this important?

1. Capital expenditure involves acquisition or enhancement of fixed assets which have a long-term value to the MCA. Capital assets shape the way strategies and policies are delivered in the long term and create potential financial commitments for the future in the form of financing costs and revenue running costs. Capital expenditure must comply with the MCA's Contract Standing Orders.
2. The Local Government Act 2000, as amended in March 2002, requires local authorities to determine expenditure limits above which such expenditure would be a key decision. All key decisions on capital expenditure must be taken by the MCA Committee.
3. The Government places strict controls on the financing capacity of the MCA. This means that capital expenditure should form part of an investment strategy and should be carefully prioritised in order to maximise the benefit of scarce resources.

Key Responsibilities for Members and Staff:

4. The Chief Finance Officer will bring together estimates for capital proposals and to report them to the MCA Committee for approval or prioritisation within existing resources and in accordance with the Assurance Framework. MCA Committee approval is required for a bid for or exercise of additional borrowing approval not anticipated in the capital programme. This is because the extra borrowing may create future commitments to financing costs.
5. The Chief Finance Officer will submit reports to the MCA Committee on the projected income, expenditure and resources compared with the approved estimates.
6. The Chief Finance Officer will issue guidance concerning capital schemes and controls. The definition of 'capital' will be determined by the Chief Finance Officer having regard to government regulations and accounting requirements.
7. The Chief Finance Officer will obtain authorisation from the MCA Committee for individual schemes where the estimated expenditure exceeds the capital programme provision by more than the specified amount.
8. Officers must comply with guidance concerning capital schemes and controls issued by the Chief Finance Officer, including ensuring that all capital proposals have undergone a full project appraisal, through submission of an appropriate business case in line with the Assurance Framework.
9. Officers must prepare regular reports reviewing the capital programme provisions for their capital schemes. They must prepare at least monthly returns of estimated final costs of those schemes in the approved capital programme for submission to the MCA Committee and to the Chief Finance Officer.

10. Officers must ensure that full records are maintained for all capital contracts.
11. Officers must proceed with projects only when there is adequate provision in the capital programme and with the agreement of the Chief Finance Officer.
12. Officers must consult with the Chief Finance Officer, and to obtain authorisation from the MCA Committee, prior to the implementation of key decisions as part of the capital programme.
13. Officers must prepare and submit reports to the MCA Committee, of any variation in contract costs greater than the approved limits. The MCA must meet cost increases by virement from savings elsewhere, or from the contingency provided for within the overall capital programme.
14. Officers must prepare and submit reports to the MCA Committee on completion of all projects where the final expenditure exceeds the approved budget by more than an agreed amount.
15. Officers must ensure that credit arrangements, such as leasing agreements, are not entered into without the prior approval of the Chief Finance Officer and, if applicable, approval of the scheme through the capital programme.
16. Officers must consult with the Chief Finance Officer and to seek appropriate approval (MCA Committee) where they propose to bid for capital financing to support expenditure that has not been included in the current year's capital programme.
17. Officers must liaise with the MCA's appointed VAT and Tax Advisors at the earliest opportunity, to ensure impact of any VAT or Tax issues are properly understood and managed.

Section 9 - Treasury Management (Investments & Borrowing)

Why is this important?

Significant sums pass through the MCA's accounts each year which need to be securely managed and controlled to maximise the MCA's income. This is done in accordance with codes of practice that have been established with the aim of providing assurance that the MCA's money is properly managed in a way that balances risk with return, but with the overriding consideration being given to the security of the MCA's funds.

Key Objective: The MCA's borrowings and investments comply with the CIPFA Code of Practice on Treasury Management in Local Authorities and with the Authority's Treasury Management Policy statement.

Key Responsibilities of Staff & Members:

1. The Chief Finance Officer will:

- Prepare the MCA's Treasury Management Policy Statement and Strategy in accordance with the CIPFA Code of Practice on Treasury Management in Local Authorities and to arrange for all MCA borrowing and investment in such a manner as to comply with this Statement/Strategy.
- Ensure that all investments of money are made in the name of the MCA or in the name of nominees approved by the MCA Committee.
- Ensure that all securities that are the property of the MCA or its nominees and the title deeds of all property in the MCA's ownership are held in the custody of the Monitoring Officer.
- Authorise all borrowings in the name of the MCA.
- Act as the MCA's registrar of stocks, bonds and mortgages and to maintain records of all borrowing of money by the MCA.
- Report to the MCA Committee, as requested, on Treasury Management activities.

2. Senior Officers will:

- Ensure that loans are not made to, and that interests are not acquired in, companies, joint ventures or other enterprises without the approval of the MCA Committee, following consultation with the Chief Finance Officer.

Section 10 – Accounting Systems and Processes

Why is this important?

It is important to ensure that the MCA maintains effective & efficient systems of accounting and financial control are in place in order that its assets and interests are effectively safeguarded against loss. It is important that all stakeholders have confidence in the integrity of the MCA's financial administration.

Objectives of Accounting Systems and processes:

- To ensure that a true and complete record of all MCA transactions is maintained.
- To ensure that the MCA complies with legislation / regulations.

Implications if above objectives are not achieved:

1. The MCA may not operate within the law;
2. Incorrect management information, leading to poor decision making;
3. Financial loss;
4. Reputational loss, e.g. through publication of a critical External Auditors report;

Key Responsibilities for Staff & Members:

1. The Chief Finance Officer will be responsible for maintaining the accounts of the MCA and for the approval of all accounting records and financial systems.
2. All Senior Officers must ensure that responsibility for the preparation and processing of accounting information e.g. coding of income and expenditure is assigned to specified Officers, transactions are authorised / approved by responsible officers and an audit trail is maintained.
3. Capital expenditure must be accounted for separately from revenue expenditure and must, therefore, be coded to the appropriate capital expenditure code.
4. The Chief Finance Officer will be responsible for producing the timetable and standards for the production of final accounts each year.
6. The Chief Finance Officer shall agree all borrowing and lending arrangements and these shall operate in accordance with the MCA's Treasury, Capital and Investment Strategies and the CIPFA Codes of Practice. All investments, borrowing, leasing and other capital financing arrangements shall be effected in the name of the MCA.

6. The Monitoring Officer, shall hold all securities that are the property of or are in the name of the MCA or its nominees and the title deeds of all properties in its ownership, in safe custody.
7. The Chief Finance Officer will:
 - Ensure that the MCA does not enter into leasing contracts which compromise the MCA's spending limits set with regard to its Prudential Indicators.
 - Provide financial expertise and advice on leasing arrangements and contracts.
 - Ensure that best value is achieved in leasing contracts, including aggregation of the MCA's leasing requirement where appropriate.

All Officers must refer all proposed leasing arrangements, within their Services, to the Chief Finance Officer.

8. All Trust Funds shall, wherever possible, be in the name of the MCA and all officers acting as trustees by virtue of their official position shall deposit all securities and other documentation relating to the Trust Fund with the Monitoring Officer.
9. The Chief Finance Officer will ensure that all financial officers work to recognised Financial Standards and will ensure that clear instructions are issued to all relevant members of staff on key processes, including:
 - Control Accounts
 - Coding Protocols
 - Cash Flow Management
 - Capital Grants
 - Capital Expenditure
 - Capital Charges
 - Balance Sheet Balances
 - BACS Payments
 - Accounting statements
 - Monthly Accruals
 - Year End Accruals
 - Interfaces with the Financial Management System
 - Suspense Accounts

Section 11 - Payroll

Why is this important?

Staff costs are the largest item of expenditure for most MCA services. It is therefore important that payments are accurate, timely, made only to the right people and that payments accord with individuals' conditions of employment.

It is important that all payments are accurately and completely recorded and accounted for, as this ensures accurate information for budget holders.

Income Tax and National Insurance contributions to HM Revenue & Customs must be complete and accurate. Individuals defined as employees must be paid through the MCA's approved payroll system.

Objectives of payroll processing:

- Payments are only made to those entitled to payments, (i.e. employees) at the correct rate and time.
- All payments and associated deductions are properly accounted for.
- Processes are in place to meet the organisation's needs for accurate and timely management information regarding payroll costs.

Implications if above objectives are not achieved:

1. Payments are made:
 - for work not undertaken,
 - to a person not entitled,
 - at the wrong rate,
 - that contravene employment legislation,
 - leading to potential financial loss;
2. Adverse publicity because of failure to pay efficiently and effectively;
3. Untimely and inaccurate information to budget holders;
4. The MCA being penalised by the HM Revenue & Customs for failure to account for statutory deductions, e.g. Income Tax and National Insurance contributions.

Key Responsibilities for Staff & Members:

1. The payment of salaries, allowances and other emoluments must be made under arrangements approved and controlled by the Chief Finance Officer.

2. Senior Managers are responsible for providing the Payroll Service Provider with the details of those Officers under their management and control that can authorise payroll documents / transactions.
3. All salary notifications must be properly authorised and in accordance with the employment contract.
4. All travelling, subsistence and other allowances (including staff Professional Subscriptions), for both officers and the Mayor, must follow the MCA Travel Policy and Procedure and other relevant HR guidance.
5. The use of Petty Cash Account or other non-PAYE payment systems are not permitted under any circumstances, for the payment of salaries, travelling and subsistence expenses.
6. No payments should be made to Self Employed Individuals without an assessment of that individual's employment status first being made in line with the latest HM Revenue & Customs criteria.
7. Each Senior Manager is responsible for ensuring that the person engaging someone to perform a task determines their employment status and whether they should be paid via payroll.
8. All Payroll documents / forms submitted must be the latest approved version.
9. Appropriate budget provision must be available.
10. Salary payments are made in accordance with employment law.
11. Statutory deductions are made in accordance with regulations and properly paid over to appropriate bodies.
12. Other non-statutory deductions, e.g. Union subscriptions, are made in accordance with authorised requests.
13. Pension enhancements are awarded in accordance with approved policies.
14. All payments made are properly recorded and correctly charged to the appropriate expenditure codes and management information issued in a timely manner.
15. Members of staff who owe debts to the MCA will have these debts deducted promptly from salary.
16. It is the responsibility of all employees to immediately contact both their Manager and the Payroll Service Provider when they discover that any overpayment of salary or allowance has occurred.

Failure to do this knowingly may be regarded as theft, under the law, and may be the subject of disciplinary action by the MCA against the individual concerned

Section 12 – Ordering and Paying for Works, Goods & Services

Why is this important?

The MCA must be able to demonstrate probity and value for money in spending public money, in accordance with its Procurement Strategy and Contract Standing Orders.

All MCA Members and employees have a responsibility for spending public funds wisely and ensuring that all payments are valid, legal and represent the best use of resources.

Objectives of order and payment processes:

- To secure value for money by obtaining the best price for the quality of works, goods and services required.
- The MCA only pays bona-fide organisations or individuals the correct amount at the appropriate time in line with appropriate contractual terms and conditions
- The MCA properly accounts for works goods & services ordered and payments due or made.
- The MCA complies with legislation covering VAT, payments to Sub-Contractors and other taxable payments
- The MCA undertakes appropriate employment status checks on organisations or individuals in line with HM Revenue & Customs requirements

Implications if above objectives are not achieved:

1. MCA pays more than necessary for goods or services.
2. Payments are made for goods / services not required or not received.
3. Duplicate payments are made.
4. MCA fails to pay for goods or services in a timely basis resulting in adverse publicity, loss of goodwill.
5. Incorrect recovery of VAT leading to assessments and penalties from HM Revenue & Customs or loss of recoverable VAT.
6. Incurring HM Revenue & Customs penalties for failing to assess employment status appropriately.
7. Inaccurate and untimely information provided to budget holders.

Placing Official Orders:

1. Officers **must** only use MCA monies for the purchase of works, goods & services which are for the express use of the MCA. Members, employees or others engaged

with the MCA **must not** use the MCA's ordering or payments systems for personal use or benefit.

2. Members, Officers and individuals engaged to work for the MCA **must** declare any links or personal interests that they may have with purchasers, suppliers and/or contractors if they are engaged in contractual or purchasing decisions on behalf of the authority, in accordance with these Financial Regulations (Section 20) and the Code of Conduct.
3. Officers **must** issue Official Orders for all goods and services unless there is a specific exemption as outlined in Contract Standing Orders.
4. Senior Managers **must** designate specific employees who are authorised to place orders on their behalf and operate procedures which secure value for money. The procedures **must** be properly recorded, communicated to staff and continuously monitored.
5. All Official Orders **must** be raised through the MCA's Financial Management System.
6. There may be occasions, in cases of emergency only, when a verbal order is placed. These must be the exception rather than the rule and **must** always be confirmed as soon as practicable by the issue of an Official Order.
7. Before placing orders for goods and services the budget holder responsible **must** ensure that there is sufficient budget available.
8. All orders placed **must** comply with the MCA's Contract Standing Orders, which provides guidance on obtaining alternative prices, seeking value for money and complying with National requirements.

Receiving Goods & Services:

9. When receiving works, goods or services, the budget holder is responsible for ensuring that timely checks are made to ensure that:
 - The works goods or services are in accordance with the order placed,
 - Any faults or deficiencies are reported to the contractor/supplier and remedial action taken,
 - Where necessary, inventories or stock records have been updated,
 - Goods delivered are placed in the safe custody of their authorised recipient.

Making Payments:

10. All payments will be made with the authority of the Chief Finance Officer.
11. Payments **must not** be made unless the works, goods or services have been received by the MCA to the correct price, quantity and quality standards, and that an invoice for the same works, goods or services has not been previously passed for payment.
12. Senior Officer **must** designate specific employees who are authorised to approve invoices for payment on their behalf.
13. There must be a separation of duties between the Officer raising the Purchase Requisition and the Officer authorising the Requisition to enable a Purchase Order to be generated. This is important because invoices linked to an Official Purchase Order will be processed and paid without any further authorisation. If for reasons of efficiency a Senior Officer enables an Officer to both generate and approve a Purchase Requisition then that Senior Officer must ensure that the expenditure is scrutinised by another Officer within a reasonable period of time, this could be linked to the 'goods / services received' recording system.
14. All Senior Officers **must** ensure adherence to all instructions issued by the Chief Finance Officer in respect of year-end accounting arrangements.
15. Payments to employees of salaries, wages, and travel & subsistence expenses **must** be made through the Payroll system and not via any other payment system.
16. Hotel accommodation, Rail and Air Travel should be authorised in advance by an employee's manager or a budget holder and be booked with Click Travel through the Business Support Team.
17. Where appropriate Corporate Purchasing Cards can be used to make payments (see Section 21).
18. Officers must ensure that appropriate VAT documentation is obtained from the contractor / supplier to ensure that VAT is correctly accounted for and that the MCA can maximise recovery of recoverable VAT.
19. The MCA must comply with the requirements of the Construction Industry Scheme when paying construction industry subcontractors.
20. No payments will be made through Petty Cash Accounts .

Section 13 – Income Collection

Why is this important?

Income can be vulnerable to loss. Effective income collection systems are necessary to ensure that all income due is properly identified, collected, receipted, banked, and brought to account.

Objectives of income processes:

- To ensure that all sources of income that may be due to the MCA are identified, claimed and collected at the right time.
- All payments received are accepted, recorded, reconciled and banked promptly and correctly.
- Managers and employees have a clear understanding of their responsibilities regarding the identification, collection, banking and reconciliation of income due to the MCA.

Implications if above objectives are not achieved:

1. Income being lost to the MCA;
2. Resources may be wasted by the failure to collect income quickly and economically;
3. Adverse publicity caused by the failure to collect income efficiently and effectively;
4. Theft, misappropriation or loss of income;
5. Bad debts leading to write-offs.
6. Failure to deal with VAT correctly results in assessments and penalties from HM Revenue & Customs or a loss of income to the MCA

Key Responsibilities for Staff & Members:

1. All arrangements for the collection, accounting and banking of income due to the MCA must be subject to the approval of the Chief Finance Officer.
2. The appropriate Senior Officer will be directly responsible for the safe custody, recording, control, issue and use of official receipting systems, receipt books, tickets, account books and other income documentation in their specific Service area.
3. Responsibility for income collection must be separated from the person raising the debtor account on the accounting system.

4. All write-offs should be made in accordance with the MCA's bad debt policy. All amounts written-off must be authorised by the Chief Finance Officer or the Head of Finance.
5. All refunds of overpayments must be made through the MCA's Creditors system and NOT out of income. To help prevent money laundering activity refunds must always be paid back to the same bank account as the original payment. Any large cash payments to be refunded must be considered in terms of potential money laundering prior to authorisation of the refund amount.
6. Individuals must not borrow MCA monies.
7. Sums due to the MCA as debts from members of staff shall be deducted promptly from salary. Senior Officers will ensure that all debts due are recovered promptly and any outstanding balances due, at the time of cessation of employment, are deducted from employee's final salary or any other monies due to that employee.
8. VAT is charged where appropriate, in accordance with the HM Revenue & Customs regulations. Where an individual Service makes a new type of charge for any reason they must consult the MCA's VAT advisor before setting prices.
9. Senior Officers must ensure that all members of staff, within their Service, responsible for the collection and reconciliation of income, comply with the requirements of the MCA's Anti-Money Laundering Policy.

Section 14 – Bank Accounts, Banking and Cash Handling

Why is this important?

All MCA bank accounts are held and managed centrally. If any other bank account is required for any reason, the Officer should seek guidance from the Chief Finance Officer.

Objectives of Banking & Cash Handling processes:

- To ensure that all income and expenditure is transacted through authorised bank accounts.
- To ensure that all money is held securely.
- To ensure monies are banked in an authorised bank account in a timely manner and accurately recorded.
- To ensure all transactions are bona fide, accurate and within predetermined limits.

Implications if above objectives are not achieved:

1. Theft or loss;
2. Staff and premises vulnerable to attack;
3. Resources wasted due to poor cash flow management;
4. Inability to prove that deposits have been made into the bank account or that payments have been made by debtors;
5. Damage to the MCA's reputation through adverse publicity;
6. Failure to deal with VAT correctly results in assessments and penalties from HM Revenues & Customs or a loss of income to the MCA.

Key Responsibilities for Staff & Members:

1. The Chief Finance Officer will be responsible for making such arrangements as are appropriate and necessary with the MCA's Bankers relating to all financial transactions.
2. All bank accounts must be opened and closed by the Chief Finance Officer. Any subsidiary Bank Accounts can only be opened with the express authority of the Chief Finance Officer, who will provide specific instructions on the control and use of such accounts.

3. Any overdraft on the aggregated MCA's main bank accounts is permitted only to the extent authorised by the Chief Finance Officer. Overdrafts are not permitted on any other bank accounts.
4. The Chief Finance Officer will make available written guidance on the processes to be followed to transfer monies electronically (CHAPS / BACS).
5. The Chief Finance Officer will specify arrangements for the collection and banking of all income due to the MCA, and to approve the procedures, systems and documentation for its collection, security and banking.
6. All money received by an employee, on behalf of the MCA, must be properly recorded and paid without delay into the MCA's bank account.
7. Where third parties are contracted to bank income on behalf of the MCA, the Chief Finance Officer will specify and agree the contract arrangements, prior to entering into any such contract.
8. The Chief Finance Officer shall ensure that the reconciliation of all bank accounts held by the MCA is undertaken at regular intervals to ensure the prompt investigation of discrepancies.

Section 15 – Asset Management

Why is this important?

The MCA may hold fixed and moveable assets in the form of land, buildings, plant and machinery, vehicles, equipment, software, and other items with significant value. It is important that all assets are safeguarded and used efficiently in service delivery, and that there are arrangements for the security of both assets and information required for service operations.

An up-to-date asset register is a prerequisite for proper fixed asset accounting and sound asset management. Inventories of moveable items are particularly important in connection with potential insurance claims.

Objective of asset management:

- To ensure that assets are used to achieve the approved policies and objectives of the MCA with the minimum level of waste, inefficiency or loss for other reasons.

Implications if above objective is not achieved:

1. Money may be wasted by acquiring inappropriate assets;
2. Assets may be used inefficiently;
3. Loss or damage;
4. Money may be wasted by maintaining obsolete or unnecessary assets;
5. Income may be lost by not achieving best terms for disposal of assets.

Key Responsibilities for Staff & Members:

1. Every Senior Manager shall be responsible for the custody of all assets within their Service environment and for their general security.
2. Official inventories and stores records shall be kept under arrangements approved by the Chief Finance Officer, and all desirable and portable property shall be securely marked "Property of West of England MCA".
3. Items recorded in official inventories must subject to a regular independent physical check (at least annually). All discrepancies should be investigated and pursued to a satisfactory conclusion. Any discrepancies not resolved must be reported to the appropriate Senior Manager and Internal Audit.

4. The Chief Finance Officer (or their authorised representative) has the right of access to all MCA establishments to verify assets, records or accounts.
5. Senior Officers should ensure that stocks and stores are not carried in excess of economic requirements.
6. All 'moveable' property will only be disposed of in accordance with procedures approved by the Chief Finance Officer.
7. The Chief Finance Officer will maintain a register of all assets owned by the MCA.
8. Senior Officers shall inform the Chief Finance Officer of all relevant details, including financial implications, relating to the purchase, lease, holding or sale of assets held on the MCA's behalf.
10. All MCA assets must be used solely for official MCA business. MCA assets must not be used for personal use.
11. Where any irregularity is suspected in the custody or use of a MCA asset, the matter must be treated as a financial irregularity and reported immediately to the appropriate Senior Officer and Internal Audit provider.

Section 16 – Asset Leasing

Why is this important?

The MCA has freedoms to pursue various capital and revenue options for the funding of asset acquisitions. It is therefore important to ensure the most cost effective form of funding is sourced for each acquisition. This may or may not be leasing, but where leasing is pursued the reporting requirement must be carefully considered.

Objectives of controlling Asset Leases:

- To ensure terms and conditions of leases are appropriate.
- To ensure the lease is correctly recorded in the MCA's accounts.
- To ensure compliance with Procurement Regulations.

Implications if above objectives are not achieved:

1. The cost of leasing the asset is greater than alternative finance options.
2. The MCA's accounts are incorrectly stated.
3. Legal challenge as a result of a breach in Procurement Regulations.

Key Responsibilities for Staff & Members:

1. Senior Officers must refer all proposed leasing arrangements, within their Service areas, to the Chief Finance Officer.
2. Approval must be obtained from the Chief Finance Officer for all asset leases.

Section 17 – Insurance

Why is this important?

All organisations, whether private or public sector, face risks to people, property and continued operations. Insurance, either through external providers or through the MCA's own fund, form a vital part of the management of these risks.

Objectives of Insurance:

- To ensure that risks exceeding acceptable levels are determined and adequately insured against where appropriate.
- Material risks are monitored on an ongoing basis, and the level of insurance cover (external or internal) adjusted accordingly.

Implications if above objectives are not achieved:

1. The MCA maintains insufficient risk reserves or insurance policies to cover the potential financial costs of replacement.
2. Claims are not processed efficiently or effectively.
3. Adverse publicity for the MCA.

Key Responsibilities for Staff & Members:

1. The Chief Finance Officer shall be responsible for:
 - a) Effecting appropriate insurance cover and maintaining the relevant administrative systems.
 - b) To manage the MCA's internal funding, including prescribing how claims should be made.
 - c) To negotiate all claims in consultation with the Insurers, Monitoring Officer and other officers, as necessary.
 - d) To include all appropriate employees of the authority in a suitable fidelity guarantee insurance, and provide adequate public liability, and employer's liability cover.
 - e) To periodically undertake a general revaluation of MCA assets and effect appropriate changes to the corresponding insurance cover following revaluation.
 - f) To identify claims trends and implement appropriate risk management measures.

2. Senior Officers shall notify the Chief Finance Officer (or their Insurance representative) promptly on any matters affecting insurance cover, including all new risks and amendments to existing risks.
3. Senior Officers shall notify the Chief Finance Officer (or their Insurance representative) immediately, in writing, of any accident, loss, liability or damage or any event likely to lead to a claim on or by the MCA whether covered by insurance or not. An admission of liability or blame should not be made either verbally or in writing.
4. Senior Officers shall take all reasonable measures to reduce risk and liability within their Service areas. In addition, they shall ensure that work for external organisations is appropriately covered by professional indemnity insurance.
5. Members and Officers of the MCA who intend to travel abroad on official business must ensure that the necessary insurance cover has been arranged.

Section 18 – Value Added Tax (VAT)

Why is this important?

The purpose of this section of the regulations is to ensure that service managers and employees have a clear understanding of their responsibilities regarding VAT.

Like all organisations, the MCA is responsible for ensuring that its VAT affairs are managed efficiently and in accordance with legislation. Tax issues are often very complex and the penalties for incorrect accounting for VAT can be severe. It is therefore very important that all officers are aware of their role so that the MCA adheres to current VAT law and best practice.

In particular the MCA can only recover VAT incurred on 'VAT-exempt' business activities if the total falls below its 'partial exemption' limit. Detailed planning is required to ensure that the MCA can continue to recover this VAT, on both new schemes and existing expenditure.

Objectives of taxation control processes:

To ensure that the MCA only pays the correct amount of VAT and accounts for it in accordance with statutory requirements:

- budget managers are provided with relevant information and kept up to date on VAT issues
- budget managers are instructed on required record keeping
- all taxable charges and payments are identified, properly carried out and accounted for within stipulated timescales
- records are maintained in accordance with MCA instructions and subject to internal checks
- accurate returns are made to the appropriate authorities within the stipulated timescale.

Implications if above objectives are not achieved:

1. Unnecessary payment of taxes or under-recovery of tax due, leading to wasted resources;
2. Failure to identify taxable income and pay over the tax due, leading to possible assessments, interest and penalties, as well as considerable extra work;
3. Incorrect or duplicate recovery of VAT paid to suppliers, again leading to additional costs and work;
4. Inadequate planning or lack of consultation leads to poor decisions, resulting in errors or a loss of income;

5. Failure to consult early on expenditure related to VAT-exempt income adding to the risk of the MCA breaching its 'partial exemption' limit.

Key Responsibilities:

1. The Chief Finance Officer will:

- Maintain up to date guidance about VAT for MCA employees, and provide updates and advice to staff.
- Respond to all queries from Services, seeking external advice if necessary.
- Make checks of VAT charged to customers and to be reclaimed, then ensure completion of a quarterly return of VAT inputs and outputs to Her Majesty's Revenue & Customs (HM Revenue & Customs).
- Deal with all visits and correspondence from HM Revenue & Customs.
- Ensure that the VAT incurred in relation to 'exempt' business income is not at risk of exceeding the partial exemption limit in any financial year, and undertake the annual calculation after the year end.

2. Senior Managers will have responsibility:

- To ensure that staff are trained to deal with VAT correctly
- To ensure that the correct VAT is paid from income due to the MCA, and that VAT on purchases is recovered in line with HM Revenue & Customs regulations.
- To follow the instructions on taxation issued by the Chief Finance Officer on the MCA's VAT intranet site and in other documents.
- To check the VAT status of any new type of income with the VAT Analyst
- To ensure that all new schemes, in particular involving capital expenditure or changes to current arrangements, that in service areas which involve VAT-exempt income, are notified to the MCA's VAT Analyst at the earliest opportunity.
- To liaise with the MCA's VAT Analyst if there is any type of query concerning VAT or if it is believed that an error may have occurred.

Section 19 – ‘Employee’ Interests, Gifts and Hospitality

Why is this important?

The public is entitled to expect conduct of the highest standard from Local Government employees. Public confidence in the integrity of such persons will be shaken by the least suspicion, however ill-founded, of influence being exerted on MCA business, through financial (or other) inducements or conflicts of interests.

The purpose of this section of the regulations is to ensure that all employees (and other individuals engaged in official MCA business) have a clear understanding of their responsibilities when they have an interest or receive / give gifts and hospitality related to their MCA position.

Failure to declare interests, gifts and hospitality could be a breach of legislation. Section 117 of the 1972 Local Government Act requires individuals to declare any financial interest, whether direct or indirect, in any existing or proposed contract. The Bribery Act 2010 makes it an offence to offer, promise or give a bribe (Section 1). It is also an offence to request, agree to receive, or accept a bribe (Section 2). Section 6 of the Act creates a separate offence of bribing a foreign public official with the intention of obtaining or retaining business or an advantage in the conduct of business. A corporate offence is created under Section 7 of failure by a commercial organisation to prevent bribery that is intended to obtain or retain business, or an advantage in the conduct of business, for the organisation. An organisation will have a defence to this corporate offence if it can show that it had in place "adequate procedures" designed to prevent bribery by or of persons associated with the organisation.

Objectives of guidance and rules governing possible conflicts of interest:

The key objectives are:

- Ensure that the interests of the public remain paramount;
- Officers are impartial and honest in the conduct of their official business;
- Public monies is used to the best advantage of the MCA, always ensuring value for money.

It is important that all potential conflicts of interests are properly identified and recorded and that a record of appropriate action taken is made. This will assist in maintaining public confidence and assist in achieving the MCA's commitment to tackle fraud and corruption within or external to the organisation.

Key Responsibilities for Employees and other individuals engaged on MCA business:

1. All employees must be aware of the Employee Code of Conduct, which all new starters are sent as part of the onboarding process.
2. On starting employment / engagement (consultant or agency worker) on MCA work or at any time during the period of employment / engagement individuals must declare 'interests' by completing the 'Declaration of Interests' form which is approved by the line manager, Head of Service, and the Monitoring Officer.
3. The Register of Interests will be maintained to enable employees to submit declarations to the Monitoring Officer. Interests will include:
 - Organisation Membership (not open to the public without formal membership and commitment of allegiance and which has secrecy about rules or membership or conduct)
 - Other employment / business
 - Land Interest
 - Financial Interest
 - Family / Friends
4. During the course of their duties, employees may receive offers of gifts and hospitality of one form or another and it is important that employees are able to recognise what is, and what is not, acceptable. The following guidelines should be adhered to:
 - All staff, including agency and contract workers, must declare any offer of hospitality, travel, accommodation or gift by completing the 'Gifts and Hospitality declaration' form. The completed form is sent to the Monitoring Officer.
 - Acceptance or refusal of gifts and hospitality must be recorded in a Gifts & Hospitality Register to be maintained by the Monitoring Officer. Each register entry will be subject to management approval and periodic Audit inspection.
 - Gifts which may be sent / offered to employees by outside contractors or organisations should be returned politely with a suitable official letter, and details recorded in the Register.
 - Gifts can only be accepted when they are of nominal value, functional, items suitable for business use, e.g. diaries, calendars, and pens.
 - On no account should an employee accept either secondary employment or a financial payment from any person, body or organisation, with which the MCA is involved, e.g. contractors, developers, consultants.
 - Normally, visits by employees to exhibitions, demonstrations, conferences, business meals, social functions, in connection with their official duties shall be at the MCA's expense.

- Where hospitality, in the form of meals and drinks, is offered by a third party, this is normally only acceptable where it forms part of, or immediately follows on from, normal business meetings/discussions held during the normal working day.
 - Where offers of hospitality are made, i.e. invitations to dinners, these should only be accepted if there is a clear and demonstrable benefit to the MCA, and the hospitality would not expose the MCA to criticism that the provider of the hospitality was achieving undue influence. Attendance must have the relevant Senior Manager approval in advance, and must be recorded in the Register of Gifts and Hospitality.
 - Offers of hospitality in the form of purely social events and sporting occasions should on **no account** be accepted when these are from organisations with which the MCA has commercial links. However, invitations to social events from non-commercial organisations with which the MCA has a partnership arrangement will be acceptable, but must have Senior Manager advance approval, and must be recorded in the Electronic Register. Offers of hospitality refused must, in addition, be recorded in the Register.
 - Regular social contact, i.e. drinks in a public house, with representatives of organisations which supply, or hope to supply, goods or services to the MCA must be avoided. Where such instances do occasionally take place, i.e. after late working, officers should ensure that they “pay their way” and that the costs of such contact are not met by the other party.
 - For their own protection, officers may wish to consider recording such events in the Electronic Register.
 - Apart from participating in concessionary schemes arranged by the MCA, trade unions or other groups for their members, employees shall not avail themselves of the services of contractors employed by the MCA for acquiring services, materials, labour or plant at cost, trade or discount prices.
5. Suspected irregularities concerning conflicts of interest, giving and acceptance of gifts & hospitality must be reported without delay to the Monitoring Officer, and where appropriate, to the Chief Executive.
 6. Employees responsible for the purchase of goods and supplies on behalf of the MCA should note that any promotional offers given by suppliers are the property of the MCA.
 7. These promotional offers normally take the form of a free gift, a holiday offer or vouchers towards goods. Promotional offers should **ONLY** be used for the benefit of the MCA, and the Senior Manager concerned will decide how such offers are to be used.
 8. All promotional offers accepted and declined and the course of action determined by the Senior Manager must be recorded in the Register.

Section 20 – Corporate Purchasing Cards (Credit Cards)

Why is this important?

A corporate purchasing card is an efficient and effective option of procuring goods and services which are generally a one off or ad hoc expense. Only authorised permanent employees will be provided a purchasing card with the agreement of the relevant Senior Manager.

The purpose of this section of the regulations is to ensure that all employees have a clear understanding of their key responsibilities when using the MCA's Corporate Purchasing Card.

Objectives of the Corporate Purchasing Card:

Purchasing Cards streamline the purchasing process and offer the following benefits:

- Reduce Supplier Set-Up in the MCA's Financial System
- Reduce number of purchase orders raised and invoices processed,
- Increase speed of payment to suppliers,
- Increase the speed of obtaining goods and services.

Implications if the purchasing card is not used appropriately:

1. Failure to secure value for money (there's a requirement to obtain quotes and tenders - Contract Standing Orders);
2. Payments are made for non-business use goods and services;
3. Payments are duplicated;
4. Loss of recoverable VAT;
5. Fraud & theft
6. Inaccurate coding of Expenditure

Key Responsibilities for Staff:

1. The Chief Finance Officer will be responsible for authorising all Purchasing Card application forms.
2. The Chief Finance Officers must authorise the issue of all new Purchasing Cards to members of permanent staff only.
3. Senior Managers will be responsible for agreeing the transaction, monthly credit limits and categories of expenditure for all Corporate Purchasing Cards issued within their Service.

4. All Cardholders must abide by the requirements of the Purchasing Card Terms & Conditions and the Purchasing Card Procedure Guide.
5. The cardholder must ensure that the Purchasing Card issued to them is kept in a safe place at all times and access is strictly limited.
6. The Purchasing Card must only be used to purchase goods or services on behalf of the MCA and must only be used by the named cardholder.
7. All purchasing card holder should obtain a VAT or “retailer’s” receipt. This should be retained until the card holder has verified the sums shown on the monthly statement.
8. Some suppliers are “VAT-enabled” and the statement will show purchases net of VAT. For those suppliers where the amounts are shown gross and (subject to being material as defined in the guide) the cardholder should reclaim VAT for these items and when it is reclaimed they must retain the receipt to evidence the transaction.
9. The cardholder must ensure that purchasing card transactions are accurately coded in the MCA’s Financial System via the tracker and the declaration signed with clearance from the card holder’s line manager.
10. Senior Managers must ensure that the detailed procedures and key controls, as specified in the Purchasing Cards Procedures Guide, are strictly followed.
11. Any misuse of the Purchasing Card will be treated as misconduct and subject to normal disciplinary procedures.

Section 21 – International Travel

Why is this important?

If International travel, by MCA Officers and Members, is not administered efficiently and robustly, the MCA is very open to criticism and loss of reputation.

It is critical that the decision making process and rationale is clearly documented to include all aspects of the trip, such as expected outcomes/benefits, lead officer, number of MCA officers, external parties/delegates, rationale for numbers etc, overall budget required and reporting requirements both before and after the trip.

The MCA's Financial Regulations and Standing Orders will continue to apply when arranging and making payments for international visits.

Objectives of International Travel Guidelines:

- To ensure that MCA Members and Officers obtain value for money and that the MCA only incurs expenditure on activities relating to officially approved international visits.

Implications if above objectives are not achieved:

1. Failure to secure value for money.
2. Travel not officially authorised
3. Resources may be used inappropriately
4. Loss of reputation to the MCA and adverse publicity
5. Loss of recoverable VAT

Key Responsibilities for Staff & Members:

1. The MCA's Financial Regulations and Contract Standing Orders will continue to apply when arranging and making payments for international visits.
2. All MCA Members and Officers must have formal approval of the relevant Director before taking part in an international visit and entering into any commitments concerning that visit.
3. All staff taking part in international visits are under an obligation to minimise official expenditure, e.g. economy class air fares. However, staff should not expect to be out of pocket on official visits (unless they undertake optional or private extensions or modifications to essential itineraries).
4. The maintenance of detailed and precise records of expenditure, together with obtaining receipts for all expenditure incurred, are essential. All financial records,

associated with the visit, must be retained. Reimbursement of expenses claimed will only be made against receipts.

6. Travel Insurance must be obtained from the MCA's Commercial team immediately on booking any travel arrangements.
7. If free accommodation is offered in a host country, either in the homes of colleagues or elsewhere then staff should accept it following completion of an H&S assessment.
8. MCA Purchasing Cards (Credit Cards) must only be used for Official MCA expenditure incurred on approved visits.
9. A report detailing the benefits of the visit must be submitted to the relevant Senior Officer upon the completion of the visit.

Section 22 – Commissioning & Procurement

Why is this important?

1. The MCA spends a large sum of money each year on contracts, for works, goods or services. These Financial Regulations apply to all contracts and must be read in conjunction with the MCA's Contract Standing Orders.

These Financial Regulations are intended to support the MCA's Contract Standing Orders in order to:

- Secure the best value for the MCA,
- Prevent corruption or the suspicion of it; and
- Subject to the above, be fair and transparent to those seeking to contract with the MCA.

Objectives of our Commercial, Commissioning and Procurement Activities:

The 'Commercial' and 'Commissioning and Procurement' objectives of the MCA are as set out in its Commercial Strategy and in its Procurement Policy.

Implications if above objectives are not achieved:

1. Failure to support local economy and our communities;
2. Failure to secure value for money;
3. Failure to be transparent around our systems, objectives and processes;
4. Delays to delivery of contracts whilst legal challenges are dealt with and increased costs incurred in order to defend the MCA's position.

All instructions to suppliers and payment arrangements **must** be in a form agreed by the Chief Finance Officer or their delegated Officer.

The Chief Finance Officer **must** agree arrangements for the financial vetting of prospective contractors.

The Senior Manager **must** establish appropriate contract management arrangement for the regular review of contractual performance of the contractor that allows performance issues to be identified and addressed in line with the terms of the contract.

Contracts will be tiered according to the assessment made from the pipeline through to the procurement outset, based on three criteria: value, complexity and level of risk, which in turn will determine the level of contract management applied to each contract.

Section 23 – External Arrangements Partnerships

Why is this important?

Partnerships bring together key public agencies, the business community and the independent sector (voluntary and community sector organisations, further and higher education, neighbourhoods) to address the shared priorities for the area and to tackle the issues that no single agency can do on their own. The MCA provides a distinctive leadership role to promote / improve the economic, social or environmental well-being of its area and people. Local Authorities, including MCAs, can mobilise investment, bid for funds, champion the needs of their areas and harness the energies of local people and community organisations.

A Partnership is a joint working arrangement where the partners:

- are otherwise independent bodies;
- agree to jointly deliver common goals and outcomes for the community;
- share accountability, risks and resources, and
- create an organisational structure with agreed processes and programmes.

Partners have common responsibilities:

- to be willing to take on a role in the broader programme appropriate to the skills and resources of the partner organisation;
- to act in good faith at all times and in the best interests of the partnership's aims and objectives;
- be open about any conflict of interests that might arise, including those where MCA staff have been seconded to work on the project;
- to encourage joint working and promote the sharing of information, resources and skills between public, private and community sectors;
- to hold confidentially any information received as a result of partnership activities or duties that is of a confidential or commercially sensitive nature;
- to act wherever possible as ambassadors for the project.

Key controls

The key controls for partnership arrangements are:

- ensuring that partnership arrangements are underpinned by clear and well documented internal controls.

- risk management processes are in place to identify, assess and allocate all known risks.
- appraisal processes are in place to assess the viability of the partnership in terms of resources, staffing and expertise.
- the roles and responsibilities of each partner involved in the project are agreed and formally accepted before the project commences.
- adequate arrangements are in place to ensure the accountability of other organisations for MCA money, and that such money is only released against proper controls.
- regular communication is maintained with other partners throughout the project so that problems can be identified and shared to achieve their successful resolution.
- documentation is in place setting out and limiting the commitments of parties to each other and the project.

Responsibilities of the Chief Finance Officer

1. To advise on effective controls that will ensure that resources are not wasted.
2. To advise on the key elements of funding a project. They include:
 - scheme appraisal for financial viability in both the current and future years.
 - risk appraisal and management.
 - resourcing, including taxation issues.
 - audit, security and control requirements.
 - carry-forward arrangements.
3. To ensure that the accounting and reporting arrangements are satisfactory.
4. To advise on the governance and performance management of partnership arrangements.
5. To ensure that when the MCA is the "Accountable Body" there are adequate controls and governance arrangements in place.

Responsibilities of Senior Managers

1. That the key components of a Partnership Governance Framework are in place. This includes:
 - Ensuring that, before entering into agreements with external bodies, a business case and risk management appraisal has been prepared and considered.
 - Ensuring that all agreements and arrangements are properly documented.
 - Ensuring that such agreements and arrangements do not impact adversely upon the objectives and services of the MCA.

Detailed Requirements

1. The MCA Committee is responsible for approving significant partnership arrangements. The MCA Committee is the focus for forming partnership arrangements with other public, voluntary and community sector organisations to address local needs.
2. The MCA Committee may be able to delegate functions, including those related to partnership, to officers. This will be set out in the delegations that form part of the MCA's constitution. When functions are delegated, the MCA Committee remains accountable for them.
3. A Business Case for partnership must be submitted for approval to the MCA Committee for significant partnerships. A thorough risk assessment of the partnership must be made as part of the Business Case.
4. For each approved partnership, a Link Officer must be appointed. The Link Officer is responsible for reviewing governance arrangement and effectiveness and reporting to the relevant Senior Manager.
5. A Partnership Agreement must be completed and signed by all members of the Partnership. This agreement must follow an approved format as agreed with the Monitoring Officer.
6. The Link Officer must perform a review of the partnerships governance, performance and effectiveness at least annually for review by the MCA Committee or relevant Senior Manager. The review must demonstrate a continuing business case for the partnership or if not exiting the partnership must be considered.
7. The partnership must perform regular risk assessments and maintain a risk register.
8. It shall be clear that officers put forward to represent the MCA Committee on partnerships and external bodies are there on the MCA's behalf and to ensure that the MCA's interests, position and aspirations are protected. If the achievement of the objectives of the partnership becomes inconsistent with this, there is a conflict of interest. If there is a conflict of interest, an officer's first duty is always to the interests of the MCA. Where an officer is appointed to a legally constituted company (not a partnership) the officer will be bound by the company's memorandum and articles. In this appointment the officer must represent the interests of the Company.

Section 24 – External Funding

Why is this important?

External funding is potentially a very important source of finance, but funding conditions need to be carefully considered to ensure that they are compatible with the aims and objectives of the MCA. Mayoral Combined Authorities are increasingly encouraged to provide seamless service delivery through working closely with other agencies and private service providers. Funds from external sources such as Government Departments and Government Agencies provide potential resources to assist the MCA to deliver services to the local community. However, in some instances, although the scope for external funding has increased, such funding is linked to tight specifications and may not be flexible enough to link to the MCA's overall plan.

Key controls

The key controls for external funding are that:

- funds are accepted only if they meet MCA approved strategies and priorities.
- the requirements of the Funding Body are clearly understood to ensure that key conditions of funding and any statutory requirements are complied with.
- any match-funding requirements are given due consideration prior to entering into long-term agreements and that revenue budgets reflect these requirements.

Responsibilities of the Chief Finance Officer

1. To review all grant application prior to submission.
2. To ensure that all funding notified by external bodies is received and properly recorded in the MCA's accounts.
3. To ensure that audit requirements are met.

Responsibilities of Senior Managers

1. To obtain approval from Chief Finance Officer for grant applications.
2. To ensure permissions are in place to incur expenditure funded by grant, including within the approved Revenue or Capital budgets as appropriate.
3. To ensure that the project progresses in accordance with the agreed project plan and that all expenditure is properly incurred and recorded.
4. To ensure that the match-funding requirements are considered prior to entering into the agreements and that future revenues are able to meet these requirements.
5. To ensure that all claims for funds are made by the due date.

Section 25 – Work for Third Parties

Why is this important?

Mayoral Combined Authorities can enter into a wide range of agreements to do work with each other and with some (but not all) public bodies. It is usually illegal for them to enter into agreements to do work for the private sector. Such an agreement may enable the MCA to provide a range of services to other bodies. Such work may enable economies of scale and sharing of existing expertise. Arrangements should be in place to ensure that any risks associated with this work is minimised and that such work is intra vires (i.e. within the MCA's legal powers).

Key controls

The key controls for working with third parties are that:

- proposals are costed and reviewed for accuracy and completeness prior to submission;
- no process is started that might lead to the MCA agreeing to do work for an outside body whether public sector or otherwise, without first seeking the advice of the Monitoring Officer as to whether this is within the MCA's legal powers;
- no process is started that might lead to the MCA agreeing to do work for an outside body, whether public sector or otherwise without first establishing and recording that there is a clear economic case why doing the work is in the MCA's best interests;
- contracts are drawn up using with the advice / guidance of the MCA Monitoring Officer;
- guidance is issued with regard to the financial aspects of third party contracts and the maintenance of the contract register;
- the MCA has insurance cover for any potential liabilities that could arise to the recipient of the service and any third party, and that the cost of this has been included with the overheads when calculating the fees to be charged.

Responsibilities of Chief Finance Officer (S73 Officer)

1. To issue guidance with regard to the financial aspects of third party contracts and the maintenance of the contract register.

Responsibilities of Senior Managers

1. To ensure that the approval of the MCA Committee is obtained before any negotiations are concluded to work for third parties.

2. To ensure that the MCA does not enter into any agreement that is beyond its power.
3. To ensure that no contract is subsidised by the MCA.
4. To ensure that, wherever possible, payment is received in advance of the delivery of the service.
5. To ensure that the Service / Team has the appropriate expertise to undertake the contract, and that such contracts do not impact adversely upon the services provided for the MCA.
6. To ensure that all contracts are properly documented.

Appendix 1. Scheme of Delegations

1. Contracts and Purchase Order (PO) approvals:

<u>Officer Level</u>	<u>Contract Signing /Approval</u>	<u>Contract Exemptions</u>	<u>Purchase Order Approval</u>	<u>Non-PO approvals</u>
Programme Manager	<£50k		<£50k	<£50k
Head of Service	<£250k		<£250k	<£250k
Director	<£5m	<£100k and Head of Commercial/Procurement	<£5m	<£5m
CEO	£5m +	£100k + CEO and S73 or MO must approve	£5m +	£5m +

1.1 All contracts and grants over £100k in value should be sealed by the Monitoring Officer.

1.2 All procurement (and contracts) of goods and services of value greater than £25k should be approved in advance by the Head of Finance and the Head of Commercial. Procurement and contracts to be awarded of value greater than £100k needs approval from the Commercial Board to proceed.

1.3 Grant vs Contract

It is important for delivery and risk commitments and for accounting and VAT treatment to establish if agreements entered into with a third party constitutes grant funding or if they are contractual. In general, a grant is a non-exchange transaction, i.e. the grant provider does not get anything in return, whereas a contract is an exchange transaction where one party receives consideration (typically money) in exchange for a good or service.

If an officer has any doubt about whether an agreement is a grant or a contract, then they should contact a member of the legal team for advice.

2. Other Delegations/Exceptions:

Up to £700k for budgeted payments to AEB Providers	Strategic Director of Economy and Skills or S73 Officer
Grants up to £2m	Head of Grant Management and Assurance or S73 Officer
Grants over £2m	CEO

2.1 The Finance team maintains a list of suppliers for whom there is an exemption from the requirement to raise purchase orders for goods and services. Otherwise, the MCA operates a 'no-PO, no-Pay' policy.

2.2 Types of expenditure for which it may not be appropriate to raise a PO include the following:

Rent, Services and Utilities bills

Insurance
Travel
Postage
HMRC
Comensura payments for agency staff
Grant Payments
Bank or Treasury payments and investments

- 2.3 Purchase Orders are not required for payments using Procurement Cards and for faster and foreign payments.

Any requests for suppliers to be added to the list of exemptions for non-requirement of a PO should be made with reasons to the Head of Finance.

2.4 Sales Invoices

All Sales invoice forms should be approved by the relevant Programme Manager and by the Head of Finance.

2.5 Credit Notes

All Credit notes should be approved by the relevant Programme Manager and by the Head of Finance.

Appendix 1

Contract Standing Orders

TABLE OF CONTENTS

1.	COMMERCIAL OVERVIEW	4
2.	SCOPE AND APPLICATION	4
3.	PROCUREMENT PROCESS RESPONSIBILITY	4
4.	COMMERCIAL APPROVALS RESPONSIBILITIES	4
5.	PIPELINES AND PLANNING PROCESS	4
6.	ENGAGING THE EXTERNAL MARKET	5
7.	SUSTAINABLE PROCUREMENT & SOCIAL VALUE	5
8.	SUPPORTING EMPLOYMENT & SKILLS	5
9.	PROCUREMENT RULES	6
10.	OVERVIEW OF PROCUREMENT PROCEDURES	6
11.	PUBLICATION OF NOTICES	8
12.	MCA THRESHOLDS, APPROVALS AND PROCUREMENT ROUTES	9
13.	EXPENDITURE APPROVALS	10
14.	SPENDING POWERS & COMPLIANCE WITH POLICIES	11
15.	MOST ADVANTAGEOUS TENDER (MAT)	11
16.	CONFLICTS OF INTEREST	11
17.	CONTRACT AWARD & IMPLEMENTATION	12
18.	CONTRACT VARIATIONS OR MODIFICATIONS	13

Appendix 1 Transparency requirements

Appendix 2 Financial Obligations & Purchase Orders

1. Commercial Overview

- 1.1 The purpose of this documentation is to provide clear and effective guidance to all MCA employees and staff when undertaking procurement activities, engaging with external suppliers and committing spend. It is requirement that these processes are understood and practised across the MCA.
- 1.2 The **MCA Procurement Policy** sets out how the Commercial Team will practically support the objectives of the MCA in parallel with legal and transparency compliant obligations, which achieve value and successful delivery of the MCA's programmes and initiatives.
- 1.3 Procurement procedures, templates and tools are available to all staff which should be read and applied in conjunction with this information. A summary showing the procurement routes for different expenditure thresholds is documented for additional reference, giving spend governance approvals.

2. Scope and Application

- 2.1 All expenditure on goods, services and works procurements across the MCA (third party spend) are subject to this information.
- 2.2 Arrangements under which the MCA collaborates with other public bodies (for example under non-legally binding memoranda of understanding) will not ordinarily constitute public contracts for the purposes of procurement law but will be subject to the internal approval processes for non-competed expenditure as set out in this policy.

3. Procurement Process Responsibility

- 3.1 The Commercial Team is responsible for supporting and delivering procurement and commercial requirements but are a facilitator to deliver the MCA business objectives, working within the wider organisational context.

4. Commercial Approval Responsibilities

- 4.1 The MCA must not commit to any expenditure or enter into agreements, including variations or extensions to contracts, with any person/organisation, either by written or verbal means, prior to the appropriate approval being received.
- 4.2 All expenditure and/or contract commitments made including contract variations, whether having a financial implication or not, including but not be limited to: third party contracts, Memoranda of Understanding, Framework Agreements, Lease Agreements and Licence Agreements must be recorded, and a soft copy saved in Atamis.

- 4.3 Expenditure must be calculated as the proposed whole life cost inclusive of VAT (including any option for any renewals (extensions)) as set out within the published contract. Sub-dividing procurement opportunities for the purpose of reducing the total value of the contracts is not permitted under the procurement rules and is classed and treated as an attempt to facilitate disaggregation.

5. Pipelines and planning process

- 5.1 Budget holders should ensure they have developed a commercial pipeline at the start of each financial year in discussion with both Finance (to review and confirm available budgets) and the Commercial Team. The Commercial Team will work proactively with budget holders to develop and maintain the pipeline of future procurement activity as a working document during the financial year, giving the maximum outlook on plans and potential expenditure.
- 5.2 It is a statutory requirement for the MCA to give 28 days' notice of all key decisions. A key decision is one which is likely to result in the saving or expenditure of £0.5m revenue or £3m capital and/or which has a significant effect on people living or working in an area comprising two or more wards or electoral divisions within the region.
- 5.3 In advance of commencing a procurement, Legal, Procurement and Financial advice should also be sought. Confirmation of approved budget must be in place.

6. Engaging the external market

- 6.1 Good and proactive supplier engagement will assist the MCA meet its strategic objectives. Developing collaborative and mutually beneficial relationships with existing and potential supply partners delivers greater levels of innovation and competitive advantage than could be achieved through traditional, transactional purchasing arrangements.
- 6.2 The market engagement process can also facilitate feedback on innovation and market-based solutions. The MCA can also use this as an opportunity to share future plans and vision, as well as assisting in shaping service specifications and final requirements.

7. Sustainable Procurement & Social Value

- 7.1 **Delivering both Sustainable procurement and Social Value** is about achieving value for money on a whole life basis for the MCA in terms of generating benefits, not only to the region but also to wider society and the economy, whilst not causing net damage to the environment.
- 7.2 Weightings will be applied to deliver but is likely, in most cases, to constitute a minimum of 10% for each Social Value and Sustainability of the total score.

- 7.3 **The Social Value Act¹** applies to all public sector organisations who are “contracting authorities” for the purpose of the regulations. The Act requires “contracting authorities” to consider the economic, environmental, and social well-being of their relevant area during the pre-procurement stage of awarding any services contract.
- 7.4 The Commercial Team, together with assigned contract managers will track and performance manage Social Value KPI’s and their delivery throughout the life of contracts to ensure all elements are meeting their objectives.

8. Supporting Employment & Skills

- 8.1 The MCA is committed to support the role of local organisations, people, non-profit organisations, and communities will be at the heart of procurement activity, through proactive market engagement and organisations that the MCA will work hard to attract across the region. These activities will all contribute towards the objectives of the MCA² to support businesses to thrive across the region.
- 8.2 The Procurement Act 2023 is designed to promote fair competition and transparency in public procurement, and it includes measures aimed at opening up opportunities to small and medium-sized enterprises (SMEs) and local suppliers.

9. Procurement Rules

- 9.1 See Appendix 1 for a full list of transparency requirements and frequency across the commercial lifecycle.
- 9.2 The Public Procurement (Agreement on Government Procurement) (Thresholds) (Amendment) Regulations 2023 (“**the Regulations**”) introduced revised financial thresholds for the procurement of public contracts which are commenced on or after 24th February 2025.

Table 1: Current thresholds inclusive of VAT effective from 1st January 2026 (to Dec 2026)

Procurement Act 2023	Thresholds
Supplies and Services	£207,720
Works	£5,193,000
Light Touch	£663,540
Concession Contracts	£5,193,000

10. Overview of Procurement Procedures

- 10.1 Options in the procurement process exist under the Procurement Act 2023 (PA23). These are outlined below.

¹ <https://www.legislation.gov.uk/ukpga/2012/3/enacted>

10.2 Where MCA runs a competitive tendering process, it **must** publish a tender notice (along with associated tender documents) to invite suppliers to submit a tender. Tender notices will also need to contain certain information.

10.3 The Open Procedure

Table 2: Procurement Routes PA23 - Open Procedure

Open Procedure
Open advertisement: The contracting authority publicly advertises the procurement opportunity
Any interested supplier can submit a tender
Contracts are awarded based on the most advantageous tender (MAT), considering factors like price, quality and social/environmental considerations.

10.4 The Competitive Flexible Procedure

Table 3: Procurement Routes PA23 - Competitive Flexible Procedure

Competitive Flexible Procedure
This is a more flexible approach designed to accommodate a wider range of procurement scenarios. It allows contracting authorities
Tailor the procurement process to specific needs
Use a variety of methods to engage with suppliers
Explore innovative solutions and encourage competition
Provides greater flexibility for contracting authorities to adapt their procurement processes to the specific requirements of each contract.

10.5 Other types of procurement procedures are set out in table 4 below:

Table 4: Procurement Routes PA23 - Other procurement routes

Procedure	Overview
Direct Award	MCA may directly award contracts without a competitive process in certain specified circumstances, although MCA may not directly award to an excluded supplier unless there is an overriding public interest in doing so (e.g. the direct award is necessary to construct, maintain or operate critical national infrastructure). Under PA23 direct awards may be made: • where it is necessary to protect life (subject to further regulations). • for the procurement of prototypes or novel goods or services (as defined in the Act) to a limited scale of production. • where there is only one supplier in the market that is capable of delivering the requirement. • where the requirement is for additional goods, works or services where use of another provider would be incompatible with existing goods, works or services.

Procedure	Overview
	extreme urgency; and Any Direct Award route should be discussed with the Commercial Lead and an MCA Exemption Form should be completed and approved by the Monitoring Officer; and An Award notice must be published prior to signing contracts
Dynamic Markets	A dynamic market is designed to be used as a mechanism for repeat procurements. Unlike a framework agreement, a dynamic market is open for applications throughout its term and there is no limit to the number of applicants that can be admitted. There is no restriction on the use of a dynamic market to commonly used, commoditised goods. MCA can set conditions for membership of the dynamic market, so long as it is a proportionate means of ensuring that members have the legal and financial capacity, and the technical ability to perform the contracts. There are a number of notice requirements that MCA must comply with where a dynamic market is established, which will apply when establishing the market, modifying or ending the market.
Frameworks	The PA23 allows for public contracts to be awarded in accordance with a framework. Where a framework is to be used, MCA can only award an agreement under it following a competitive selection process unless: - there is only one supplier who is party to the framework, or - the framework sets out core terms of the public contract and an objective mechanism for supplier selection. Frameworks must not exceed four years (or eight years for defence or utilities frameworks), unless MCA considers that the nature of the goods, service or works to be supplied under it warrant a longer period. Open frameworks are those which provides for the award of successive frameworks on substantially the same terms. Where a MCA uses an open framework it must provide for the award of a framework at least once during: - the period of three years following the award of the first framework in the scheme, and - each period of five years following award of the second framework.

11. Publication of Notices

11.1 The MCA is required to ensure that any new procurement opportunities above the relevant thresholds are submitted electronically Find a Tender (FTS) where

appropriate) in accordance with the Procurement Act 2023 within the timescales set out in the relevant regulations.

- 11.2 The Procurement Act 2023 introduces a new central digital platform that will significantly change how MCA publish information and interact with our suppliers. The key requirements for using this platform are:

11.2.1 Mandatory Use for Certain Notices:

Contract Notices: Most above-threshold procurements will require the publication of contract notices on the platform. This is the primary way to announce procurement opportunities to the market.

Award Notices: When a contract is awarded, an award notice must be published on the platform, informing the public about the winning bidder and contract details.

Transparency Notices: Direct awards and other specific situations require the publication of transparency notices on the platform, explaining the reasons for the non-competitive award.

Planned Procurement Notices (PPNs): While not always mandatory, PPNs, which signal upcoming procurement opportunities, can also be published on the platform.

11.2.2 Supplier Registration:

Suppliers will register their core business information (financial standing, etc.) on the platform. This "tell us once" approach reduces the need for suppliers to repeatedly submit the same information for each procurement. The platform will be a central hub for suppliers to find procurement opportunities across the MCA.

11.2.3 Publication of Document:

Tender Documents: MCA will publish tender documents, including specifications, evaluation criteria, and contract terms, on the platform. Other relevant information, such as contract details and award summaries, may also be published on the platform.

11.2.4 Integration with MCA Existing System: The platform will be integrated with the MCA existing procurement systems used by the Commercial Team

- 11.3 See Appendix 1 for a summary of the notices required.

12. MCA Thresholds, Approvals and Procurement routes

- 12.1 For new procurement project, the approval process requires that a completed and signed Procurement Request Form and procurement strategy (based on expenditure levels) are approved by The Commercial Board (and other relevant approval meetings depending on spend thresholds).

- 12.2 The table below defines the procurement process run by the procurer, dependent on the Contract value.
- 12.3 If you are purchasing IT Hardware or Software, this must be conducted in accordance with the IT Policy.

Table 5: Approval Requirements

Value of Procurement (inclusive of VAT)	Approvals & Documentation Required	Procurement Route
<£500		Purchasing Card where available
£501 - £15,000	Approval by Budget Holder Add to Contracts Register	1 written quote - standard MCA T&Cs no derogations away from standard MCA T&Cs
£15,001 - £29,999	Approval by Budget Holder Add to Contracts Register	3 written quotes - standard MCA T&Cs no derogations away from standard MCA T&Cs
£30,000 - £206,999	Engage with Senior Commercial Lead Subject to Budget Holder, Head of Commercial & Head of Finance Approval	3 written quotes or applicable framework Advertise via Central Digital Platform (Find a Tender (FTS)) >£30,000
£207,000+	Engage with Senior Commercial Lead Subject to Commercial Board Approval Prepare Procurement Strategy Complete Procurement Request Form Complete Key Decision Paper Complete Contract Award Report (post procurement) Add to Contracts Register in Atamis Add to Central Digital Platform (Find a Tender (FTS)) final contract & award	Advertise via Central Digital Platform (Find a Tender (FTS)) Framework or applicable route

Value of Procurement (inclusive of VAT)	Approvals & Documentation Required	Procurement Route
Legal Services Requirements	As a standing exemption to the normal West of England Combined Authority practice, there is no requirement to complete a Procurement Request Form or Contract Request Form when raising a Purchase Order for external legal services. Officers in the relevant service area are responsible for raising the Purchase Order against their service budget. The procurement of all external legal services, from supplier selection to contract award, is managed by the West of England Combined Authority Legal Team.	

13. Expenditure Approvals

- 13.1 Approval from the relevant officer is required at the key points through the Commercial Lifecycle i.e. Approval to spend, Procurement Strategy (where relevant) and Contract Award (prior to commitment/contracts being signed).

14. Spending powers & compliance with policies

- 14.1 Anyone procuring goods, services and works on behalf of MCA should comply with the legislation and policy that governs the award of contracts by public bodies including:
- [The Procurement Act 2023](#)
 - [The Public Services \(Social Value\) Act 2012](#),
 - [The Equality Act 2010](#),
 - [Modern Slavery Act 2015](#)
 - [HM Treasury 'Managing Public Money'](#),

15. Most Advantageous Tender (MAT)

- 15.1 The Procurement Act 2023 requires that contracting authorities shall base the award of public contracts on the most advantageous tender assessed from the point of view of the strategic priorities within the MCA.
- 15.2 **Beyond Price:** The shift from "Most Economically Advantageous Tender" (MEAT) to MAT signals a move away from solely focusing on price. While cost remains a factor, it is now explicitly balanced with other important considerations.
- 15.3 **Value for Money:** MAT emphasises achieving the best *value* for money, which encompasses a broader range of factors than just the lowest cost.
- 15.4 **Transparency:** The award criteria and assessment methodology must be clearly defined and communicated to tenderers in advance, ensuring a transparent and fair competition.

16. Conflicts of Interest

- 16.1 All employees, staff (including interim workers) and consultants involved in any procurement on behalf of the MCA must ensure that they are aware of and comply with this policy in terms of identifying, declaring, recording and managing conflicts of interest and policy breaches.
- 16.2 Conflicts of Interest Declarations should be completed (managed by the Commercial Team) at the start of each project and during key milestones (i.e. when bids are received). All participants in the procurement and contracting processes must comply with this requirement regardless of the value of the procurement.
- 16.3 The Procurement Act 2023 places a strong emphasis on managing conflicts of interest in public procurement. Here are the key elements related to conflicts of interest within the Act:

16.3.1 Duty to Identify and Review:

Contracting authorities have a proactive duty to identify and keep under review any actual or potential conflicts of interest related to a covered procurement. This applies throughout the procurement process, from planning to contract management.

16.3.2 Definition of Conflict of Interest:

The Act defines "interest" broadly, including personal, professional, or financial interests, whether direct or indirect. A conflict of interest exists if a person acting for or on behalf of the MCA, or a Minister acting in relation to the procurement, has an interest that could potentially compromise their impartiality. Anyone who influences a decision related to the procurement is considered to be "acting in relation to the procurement" and is therefore subject to conflict of interest rules.

16.3.3 Duty to Mitigate:

Contracting authorities must take all reasonable steps to ensure that a conflict of interest does not give a supplier an unfair advantage or disadvantage. Mitigation steps can include requiring a supplier to take certain actions, such as implementing internal safeguards or providing declarations.

16.3.4 Mandatory Exclusion:

If a conflict of interest gives a supplier an unfair advantage, and that advantage cannot be avoided or the supplier refuses to take necessary steps to address it, the contracting authority *must* exclude the supplier from the procurement.

16.3.5 Conflicts Assessment:

Before publishing certain notices (e.g., tender notice, transparency notice), the contracting authority must prepare a conflicts assessment.

This assessment must detail any identified conflicts of interest, potential conflicts, and the steps taken to mitigate them. It must also address situations where there might be a *perception* of a conflict of interest, even if one doesn't actually exist. The conflicts assessment must be kept under review and updated as needed.

16.3.6 Transparency:

Contracting authorities must confirm in relevant notices that a conflicts assessment has been prepared and revised as required. This promotes transparency and public trust in the procurement process.

16.3.7 Consequences of Non-Compliance:

Failure to properly manage conflicts of interest can lead to legal challenges, reputational damage, and even accusations of fraud or corruption.

17. Contract Award & Implementation

17.1 Above Thresholds there are strict rules on how to debrief suppliers including a Mandatory 8 -day Standstill Period prior to confirming Contract award.

17.2 The standstill period of eight working days applies from the day a contract award notice is published. This means that once the MCA has decided on the winning bidder and has published the contract award notice, the standstill period begins. Unsuccessful bidders have eight working days from this publication date to challenge the decision.

17.3 However, there are exceptions to this rule. The standstill period may not apply in cases of extreme urgency or where a contract is awarded under a framework agreement.

17.4 The MCA may only enter into contracts within the scheme of delegation and must comply with:

- [MCA internal and external financial approvals process; and](#)
- [Procurement rules and other Statutory Provisions](#)

17.5 Post contract award, agreed contract management controls and measures must be in place. As part of robust contract management, it is vital the contract achieves its objectives and future benefits.

17.6 It is critical that proportionate and effective contract management is applied which follows the guidance as set out with the MCA's **Contract management Framework**.

- 17.7 Contracts will be tiered according to the assessment made from the pipeline through to the procurement outset, based on three criteria: value, complexity and level of risk, which in turn will determine the level of contract management applied to each contract.
- 17.8 This approach follows Government Commercial Function best practice and guidance.³ The tiering is as follows:
- Gold Contracts: Critical to the MCA in delivering strategic objectives, service obligations and normally high value and / or risk
 - Silver Contracts: Less strategically important contracts, however they remain critical to manage well due to the services provided due to considerations of value, risk or complexity
 - Bronze Contracts: Commodity or transactional contracts, that carry lower levels of risk and complexity but can still be high in value

18. Contract Variations or Modifications

- 18.1 The rules on variations or modifications of contracts apply to all contracts to which the Procurement Act 2023 applies.
- 18.2 Sections 74 to 78 of the Procurement Act 2023 contains a list of variations or modifications that may be made without a new procurement procedure.
- 18.3 Additionally, Schedule 8 of the Act provides further details on permitted modifications, offering additional flexibility.
- 18.4 **Contract Change Notice:** Before modifying a public contract, MCA must generally publish a Contract Change Notice. This notice informs the market about the intended modification and allows potential bidders to express interest.
- 18.5 **Permitted Modifications:** Certain modifications, such as those arising from corporate restructuring, can be made without the need for a Contract Change Notice.
- 18.6 **Substantial Modifications:** If a modification is deemed substantial, it may require a full new procurement process. The Act provides specific criteria for determining whether a modification is substantial.
- 18.7 MCA employees and staff seeking to make any contract variations or modifications should always seek advice regarding what can be classed as permissible from the Commercial and Legal Teams

3

https://assets.publishing.service.gov.uk/media/5d35940240f0b604d21a892a/Contract_Management_Professional_Standards_v2.pdf

- 18.8 [For an existing contract to be extended or rolled forward without advertising, the option for that extension must be:](#)
- clearly stated in the contract
 - the possibility of extension must have been notified to the market as part of the process to award the original contract.
- 18.9 For more guidance on variations or modifications to existing contracts, please refer to the Crown Commercial Services Guidance at: [Guidance on Amendments to Contracts during their Term.](#)

Appendix 1

Procurement Act 2023 Notices & Transparency

Type	Reference	Requirement of Notice & Notes
Pipeline Notice	UK 1	Mandatory for orgs spending <£100 million annually 18 month forward look The £2 million threshold determines which <i>individual contracts</i> must be included in the notice. Even if a contracting authority is unsure whether they will reach the £100 million threshold, they are encouraged to publish a pipeline notice anyway
Preliminary Market Engagement Notice	UK 2	Mandatory where engagement is anticipated or has taken place (or, explain intender notice why it hasn't been published)
Planned Procurement Notice	UK 3	Optional/Best Practice Advises the market of an upcoming procurement.
Tender Notice	UK 4 Tender Notice	Mandatory (for a competitive procedure) Publish when undertaking an open or competitive flexible procedure (incl. frameworks) or procuring a regulated below-threshold contract.
Transparency Notice	UK 5	Mandatory for a Direct Award. Publish prior to award when undertaking a direct award.
Contract Award Notice	UK 6	Mandatory to communicate the outcome of a procurement and commences the standstill period , where applicable, prior to awarding a contract under open or competitive flexible procedure.

Type	Reference	Requirement of Notice & Notes
Contract Details Notice	UK 7	Mandatory (Publish details of the awarded contract) inv. Regulated below-threshold contracts and those procured by direct award.
Contract Payment Notice (Will not come into effect when the Act commences.)	UK 8	Mandatory - Publish details of individual payments over £30,000 made under contract (quarterly)
Contract Performance Notice	UK 9	Mandatory - Publish KPI scores for contracts +£5 million (annually). Publish within 30 days of supplier poor performance / breach of contract.
Contract Change Notice	UK 10	Mandatory - Publish prior to qualifying modification taking place, including for contracts +£5 million,
Contract Termination Notice	UK 11	Mandatory - Publish when a contract is “terminated” for whatever reason (expiry, early termination, etc.)
Procurement Termination Notice	UK 12	Mandatory - Publish when a procurement has been ended without awarding a contract.
Dynamic Market Notice	UK 13 to UK 16	Mandatory - Publish and update when advertising, establishing, changing or terminating a dynamic market.
Payments Compliance Notice (Will not come into effect when the Act commences.)	UK 17	Mandatory - Publish details of performance against 30-day payment terms (twice annually)

Appendix 2. Financial obligations & Purchase Orders

1. Senior Managers must ensure that requests for quotations and invitations to contract with the MCA comply with the MCA's Contract Standing Orders.
2. The RO for each contract shall ensure that all instructions have been appropriately authorised and issued before the goods are ordered, services requested, or works are undertaken.
3. The RO must obtain appropriate VAT advice in relation to all contracts to provide services to the public to ensure the appropriate VAT treatment is applied.
4. All instructions to suppliers and payment arrangements must be in a form agreed by the Chief Finance Officer or his/her delegated Officer.
5. The Chief Finance Officer must agree arrangements for the financial vetting of prospective contractors.
6. A completed and approved procurement business case is required for any procurement above £50k prior to commencing the next stage. If the procurement is below £50k, evidence should be provided of authorisation by the budget holder.
7. All purchases and contracts must be supported by a purchase order unless an exemption applies. Prior to raising a purchase order, a requisition is raised against either:
 - a catalogue item; or
 - a contract;
8. The requisition is approved to commit expenditure by a budget holder after all procurement processes and approvals appropriate to the whole life value have been undertaken and received. The official purchase order is generated based upon the requisition and must include:
 - A description of the goods, services or works;
 - Quantity and individual price/cost;
 - A schedule of payment if relevant; and
 - A copy of the Procurement Request Form - Low Value; or Procurement and Contract Request Form; or Contract Change Form (below 30%) or Contract Change Form (above 30%).

- 9.** Official purchase orders are placed on MCA Standard terms and conditions. Any deviations from the application of the MCA Standard Terms and conditions may only be done with the approval of the MCA Legal and the Head of Commercial.

Appendix 2

Procurement Policy

Document authorisation

	Name	Position	Signature	Date
Prepared by	Helen Cole	Commercial Lead Assurance & Governance		01/02/24
Reviewed by	Kevin Bates	Interim Head of Commercial		
Endorsed by	Dan Dickinson	Interim Monitoring Officer		
Approved by & on	Commercial Board			

behalf of MCA				
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Revision history and summary of changes

Change date	Revision	Section	Change
19/02/25		Where applicable	Amends to the document to reflect The Procurement Act 2023, confirming duties as a contracting authority and under the new legislation

TABLE OF CONTENTS

1. Executive Summary	4
3. Governance of the Policy	5
4. Scope and Application	6
5. Key Principles of Procurement.....	6
6. Procurement Process Responsibility	6
7. Commercial Approval Responsibilities	7
8. Pipelines and planning process	8
9. Engaging the external market.....	8
10. Sustainable Procurement & Social Value.....	9
11. Supporting Employment & Skills	12
12. Apprenticeships and skills	12
13. Procurement Rules	13

14. Overview of Procurement Procedures	13
15. Publication of Notices	15
16. MCA Thresholds, Approvals and Procurement routes	15
17. Expenditure Approvals	16
18. Spending powers & compliance with policies	16
19. Award of contracts without advertising (Exemptions or Single Tender Action (STA))	17
20. Use of Framework Agreements and Dynamic Purchasing Systems	18
21. Pilots	18
22. Most Economically Advantageous Tender	19
23. Conflicts of Interest	19
24. Intellectual Property (IP) Management in Procurement	19
25. Contract Award & Implementation	20
26. Contract Variations or Modifications	22
27. Policy Non-Compliance	22
28. Policy management	22

Appendix 1 Transparency requirements

Appendix 2 Financial Obligations & Purchase Orders

Executive Summary

West of England Mayoral Combined Authority (MCA) has a responsibility to ensure a consistent, transparent and effective approach to the procurement and contract management of goods, services and works. When undertaking procurement activities, the MCA is required to comply with legislative and internal governance rules, together with professional and ethical standards to achieve successful procurement outcomes.

This Policy document must be read in conjunction with the Combined Authority's Constitution.

This Policy is intended to support the MCA's Constitution in order to

- [Secure the best value for the MCA](#)
- [Prevent corruption or the suspicion of it](#)

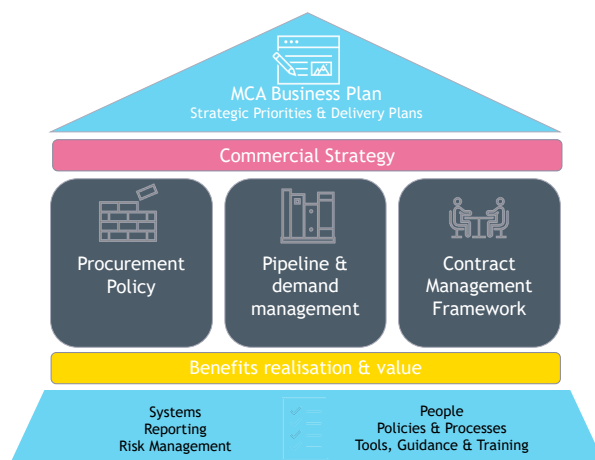
- [Subject to the above, be fair and transparent to those seeking to contract with the MCA.](#)
- [Comply with laws, regulations and guidance](#)
- [Provide probity in spending public funds and promote professional and ethical conduct](#)
- [Promote efficiency, effectiveness, environmental](#) and socio-economic sustainability

Policy Statement

The purpose of this policy is to provide clear and effective guidance to all MCA employees and staff when undertaking procurement activities, engaging with external suppliers and committing spend. It is requirement that these processes are understood and practised across the MCA.

This Procurement Policy sets out how the Commercial Team will practically support the objectives of the MCA in parallel with legal and transparency compliant obligations, which achieve value and successful delivery of the MCA's programmes and initiatives.

Figure 1: The Procurement Policy within the context of the MCA Business Plan



To summarise, the purpose of each key commercial document and stage in the context of figure 1 above:

Table 1: Commercial Documents & purpose

Document	Purpose and overview
Commercial Strategy	The overall commercial approach to ensure that procurement and other commercial activities provide the

	outcomes that support the objectives of the MCA and benefits the delivery of priorities
Procurement Policy	Procurement rules, requirements, key principles and responsibilities including thresholds, routes and delivery of the sustainability agenda
Pipeline & demand management	Through the business planning process, identifying potential and planned projects to prioritise resource, activities and requirements
Contract Management Framework	To provide a clear and standardised approach to managing and administering contracts for goods and services ensuring commitments and obligations are effectively met, by delivering value for money outcomes and managing inherent risk.
Commercial tools & templates	Documents, processes and tools (including training) that supports the Commercial Team and wider MCA to ensure, a consistent and high-quality approach to activities accessible and proportionate
Benefits Realisation & Savings	The Commercial approach and methodology to capturing financial and non-financial benefits to the MCA, across the commercial lifecycle

Procurement procedures, templates and tools will be developed and set out as separate documents, which should be read and applied in conjunction with this policy. A summary showing the procurement routes for different expenditure thresholds is documented for additional reference, giving spend governance approvals.

Governance of the Policy

This policy is owned by the MCA Commercial Team. The Head of Commercial is responsible for reviewing and updating the policy following review and approval the MCA's Corporate Leadership Team (CLT) and the Commercial Board.

Further updates may be needed to incorporate any significant policy or procedural developments internally or externally, or as required by statutory or mandatory requirements.

This document sits alongside the West of England MCA Constitution and the formal structure of how the organisation operates.

In the case of conflicts between laws, central guidance and/or internal policy, procedures, instructions and uncertainty as to which should take precedence, advice should be sought from the Commercial Team and Legal Services before proceeding.

Scope and Application

All expenditure on goods, services and works procurements (third party spend) are subject to this policy.

Arrangements under which the MCA collaborates with other public bodies (for example under non-legally binding memoranda of understanding) will not ordinarily constitute public contracts for the purposes of procurement law but will be subject to the internal approval processes for non-competed expenditure as set out in this policy.

Key Principles of Procurement

The MCA is committed to ensuring that the key concepts and procurement principles as shown in Figure 2 are adhered to where required.

Figure 2: Procurement – Key Principles



Procurement Process Responsibility

The Commercial Team is responsible for supporting and delivering procurement and commercial requirements but are a facilitator to deliver the MCA business objectives, working within the wider organisational context:

Table 2: Roles & Responsibilities

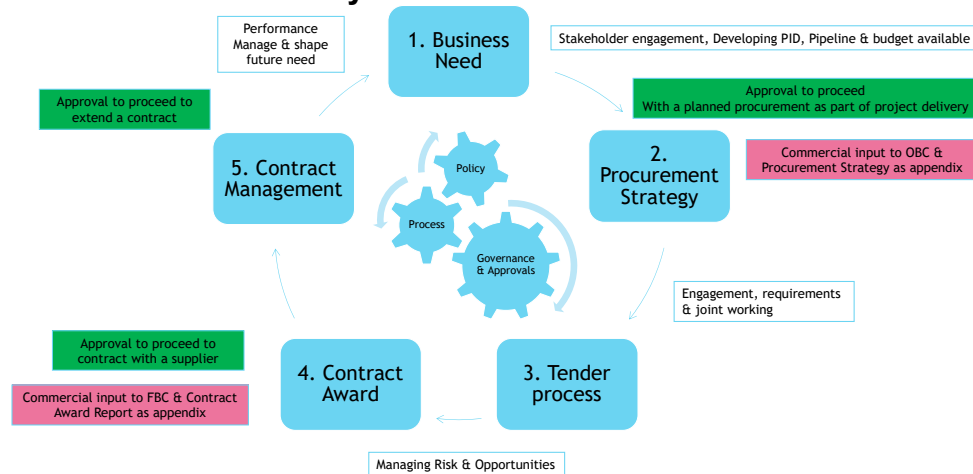
Role	Responsibilities
The Commercial Team	Supporting and delivering procurement and commercial requirements, comprising of four strands:

	Pipeline planning, capturing plans, supporting commercial and procurement requirements throughout the commercial lifecycle; from procurement strategy to contract award and management Commercial strategy, controls and spend approvals: managing governance and assurance both internally and externally Procurement of corporate spend, supporting / managing key internal stakeholders with procurement activity within allocated directorate budgets Major project procurements impacting the operational delivery of business objectives
Project Lead / Managers	Responsible for delivering the project, with authority and responsibility from wider project oversight & reporting to run the project on a day-to-day basis. They are responsible for planning, financial management and securing internal approvals to initiate procurement activity, working with the Commercial Team, building specifications, evaluating supplier tenders and in conjunction with the Commercial Lead, ensuring the MCA delivers value for money
Budget Holder	Operational responsibility for the delivery of major projects and programmes identified within the pipeline which adhere to the strategic objectives of MCA
SRO	Accountable for a programme or project meeting its objectives, delivering the projected outcomes, and realising the required benefits within the policies set by the MCA

Commercial Approval Responsibilities

The procurement and contract management process require approvals at key stages of the Commercial Lifecycle. Figure 3 below outlines the lifecycle. Key approvals required include spend approvals, procurement strategy, contract award and contract variation/extension.

Figure 3: Commercial Lifecycle



The MCA must not commit to any expenditure or enter into agreements, including variations or extensions to contracts, with any person/organisation, either by written or verbal means, prior to the appropriate approval being received.

All expenditure and/or contract commitments made including contract variations, whether having a financial implication or not, including but not be limited to: third party contracts, Memoranda of Understanding, Framework Agreements, Lease Agreements and Licence Agreements must be recorded, and a soft copy saved in the Commercial Team Approvals and Contracts Databases.

Expenditure must be calculated as the proposed whole life cost inclusive of VAT (including any option for any renewals (extensions)) as set out within the published contract. Sub-dividing procurement opportunities for the purpose of reducing the total value of the contracts is not permitted under the procurement rules and is classed and treated as an attempt to facilitate disaggregation.

Pipelines and planning process

The Commercial Pipeline is a forward look of potential commercial activity within the MCA that provides an outlook at an organisational or at a lower level, within a specific team or budget group. By maintaining a Commercial Pipeline, the MCA will gain greater and earlier insights on the challenges and requirements of its planned activities as it engages with the respective markets.

Budget holders should ensure they have developed a commercial pipeline at the start of each financial year in discussion with both Finance (to review and confirm available budgets) and the Commercial Team. The Commercial Team will work proactively with budget holders to develop and maintain the pipeline of future procurement activity as a working document during the financial year, giving the maximum outlook on plans and potential

expenditure. This supports best practice as identified by Government Commercial Function (Cabinet Office).

It will facilitate the procurement planning process, highlighting opportunities for aggregation and collaboration to achieve value for money. It will also ensure that the relevant approvals and strategic direction are planned well in advance, to meet stakeholder delivery timelines.

It is a statutory requirement for the MCA to give 28 days' notice of all key decisions. A key decision is one which is likely to result in the saving or expenditure of £0.5m revenue or £3m capital and/or which has a significant effect on people living or working in an area comprising two or more wards or electoral divisions within the region.

As part of the business planning process, the Commercial Team will work with project teams and budget holders across the organisation to identify and anticipate decisions as far into the future as reasonably possible, to ensure adherence to this requirement, thus giving a minimum of 28 days' notice as part of any external notice.

In advance of a project commencing, all key stakeholders should be identified in advance, including anyone impacted by the requirement. A Communications Plan should be considered for larger projects, together with establishing roles and responsibilities and the appropriate timeline and key milestones. In advance of commencing a procurement, Legal, Procurement and Financial advice should also be sought.

Engaging the external market

Good and proactive supplier engagement will assist the MCA meet its strategic objectives. Developing collaborative and mutually beneficial relationships with existing and potential supply partners delivers greater levels of innovation and competitive advantage than could be achieved through traditional, transactional purchasing arrangements.

Market engagement activities are a key input into the procurement strategy to ensure there is capability and appetite in the marketplace as well as providing supplier added value input to optimise the strategy and proposed contracting model.

Successful market engagement encompasses keeping the market informed about

- supply opportunities
- the procurement process
- the type of contract being procured
- how communications will be managed
- relevant information to the market which is central to maintaining a positive view of the MCA
- timelines, milestones and updates on participation, including events and informal/formal feedback

The market engagement process can also facilitate feedback on innovation and market-based solutions. The MCA can also use this as an opportunity to share future plans and vision, as well as assisting in shaping service specifications and final requirements.

Early Market Engagement (EME), known as soft market testing can therefore provide suppliers with the opportunity to meet the demand and provide the MCA with gathering market intelligence as part of the preparation process for any future contract, especially where procurements are complex or of significant value.

Depending on the scope, complexity and scale of procurement activities, a Market Engagement Strategy (MES) can be used to document the processes, systems and communication approaches put in place to ensure the optimal benefits are realised from engaging early with suppliers and that MCA's reputation as a valuable customer is enhanced.

Sustainable Procurement & Social Value

Delivering both Sustainable procurement and Social Value is about achieving value for money on a whole life basis for the MCA in terms of generating benefits, not only to the region but also to wider society and the economy, whilst not causing net damage to the environment.

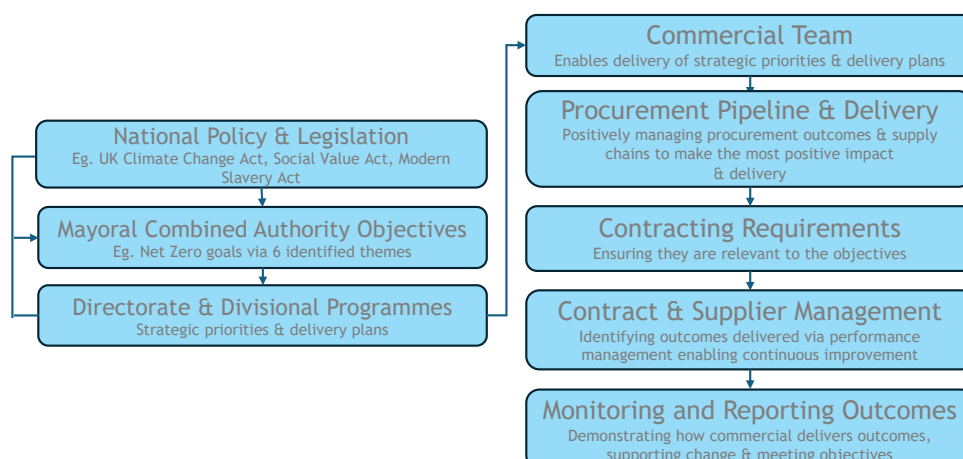
Both delivering improved Sustainability and Social Value will be a significant consideration in all types of MCA spend. The application and weighting of both will be proportionate to the size of spend to ensure we focus our attention on the biggest opportunities for the region whilst also ensuring we pick up opportunities across spend profiles.

Tender evaluation and weightings for both Social Value and Sustainability will vary depending upon the nature of the contract. Technical requirements within tenders will also require suppliers to demonstrate how they will contribute to delivering real impact.

Weightings will be applied to deliver but is likely, in most cases, to constitute a minimum of 10% for each Social Value and Sustainability of the total score.

MCA fully supports the sustainable development policies and expectations articulated by Government and aims to embed these in its procurement and commercial decisions.

Figure 4: The 'Golden thread' delivering national and regional priorities through commercial activities



The MCA has 3 key ambitions to be delivered by 2030. These are:

- The region is net zero carbon
- Wildlife and the natural environment are in recovery, with their decline halted and the abundance of wildlife increased by 30%
- The region has built its economic, social, and natural environment resilience to the impacts of climate change

The specific priorities and supporting action plan are set out in the MCA Climate and Ecological Strategy and Action Plan 2023⁴

To achieve the provision of sustainable services through procurement the MCA will consider that:

- [Environmental and socio-economic considerations \(cutting emissions, lowering energy usage, biodiversity and carbon credits\) are embedded within its procurement policies and templates](#)
- [Sustainability considerations are built into the specification and tender process, as appropriate. This includes use of the Government Buying Standards for relevant contracts](#)
- [Key supplier relationships are managed to support the delivery of sustainable outcomes, encouraging high emitting sectors to engage with opportunities](#)
- [Process, output and outcome measures are in place to track progress with sustainable procurement implementation](#)

We expect all suppliers working with MCA to apply a circular economy approach such as 'make, use, remake' as opposed to a 'make, use, dispose' linear approach. Suppliers will be encouraged to ensure that in their work with MCA, nothing is wasted – resources are kept in use for as long as possible, the maximum value is

⁴ [west of England Climate and Ecological Strategy and Action Plan 2023.pdf](#)

extracted from them whilst in use, and then products and materials are recovered and regenerated at the end of their viable life cycle.

This can result in a range of benefits:

- The environment – reduction of waste, less use of virgin materials and lower emissions
- The economy – improving productivity, new markets, reduced costs
- Communities – jobs, skills, involvement of MSMES and VCSEs.

It also has the potential to help address supply chain disruption – reducing reliance on new materials and products reduces supply chain risks.

The Social Value Act⁵ applies to all public sector organisations who are “contracting authorities” for the purpose of the regulations. The Act requires “contracting authorities” to consider the economic, environmental, and social well-being of their relevant area during the pre-procurement stage of awarding any services contract.

The MCA Social Value Framework underpins and aligns with the MCA regional and is focussed on delivering regional benefits to the environment, business and economic growth and residents: *To meet our vision for the region we must ensure that every pound we spend, and the decisions we take, positively impact people and communities in the West of England. Our Social Value framework is there to help us do that. It will drive social value across all we do, helping make the West of England a greener, fairer and more prosperous place.*

The MCA Social Value Framework consists of 4 key areas:

- Creating good jobs and accessible career paths for residents
- Reducing health inequalities and improving quality of life
- Increasing regional economic resilience
- Tackling the climate and ecological emergency

As part of the Social Value Framework for the MCA, commercial activity will primarily focus on 3 of these key areas, namely:

Creating good jobs and accessible career paths for residents, through offering work experience, apprenticeships, improving skills and good employment opportunities.

- Increasing regional economic resilience, providing more opportunities for SMEs, VCSEs and local companies, to also support them to reduce emission

⁵ <https://www.legislation.gov.uk/ukpga/2012/3/enacted>

and sustainable practices through opportunities to encourage business growth and innovation

- Tackling the climate and ecological emergency, through taking direct action to reduce emissions, participating in nature recovery projects and activities, and providing technical assistance to climate mitigation projects

The MCA will be applying the Social Value Model for procurements within each stage of the commercial lifecycle, and it will be embedded as part of its ongoing reporting post contract award.

The Commercial Team, together with assigned contract managers will track and performance manage Social Value KPI's and their delivery throughout the life of contracts to ensure all elements are meeting their objectives.

In support of PPN 05/21, the MCA will also consider the national strategic priorities for public procurement as part of the tendering processes:

- [Creating new business, new jobs, and new skills](#)
- [Tackling climate change and reducing waste](#)
- [Improving supplier diversity, innovation, and resilience](#)

[These priorities will be at the centre of the MCA's development of commercial processes and capabilities during the procurement process and through to the ongoing contract management, post contract award](#)

Supporting Employment & Skills

The MCA is committed to support the role of local organisations, people, non-profit organisations, and communities will be at the heart of procurement activity, through proactive market engagement and organisations that the MCA will work hard to attract across the region. These activities will all contribute towards the objectives of the MCA⁶ to support businesses to thrive across the region.

The Procurement Act 2023 is designed to promote fair competition and transparency in public procurement, and it includes measures aimed at opening up opportunities to small and medium-sized enterprises (SMEs) and local suppliers.

Some key provisions related to SMEs and local suppliers are:

Reserve Contracts: Contracting authorities can reserve certain contracts exclusively for SMEs or local suppliers. This can help to level the playing field and provide opportunities for smaller businesses.

Lotting: MCA can divide contracts into smaller lots to make them more accessible to SMEs. This can reduce the barriers to entry for smaller businesses and increase competition.

⁶ [MCA Employment & Skills Plan 2023](#)

Simplified Procedures: The Act introduces simplified procedures for certain types of contracts, which can reduce the administrative burden on SMEs and local suppliers.

Transparency: The Act requires MCA to publish information about our procurement plans and processes, which can make it easier for SMEs and local suppliers to find opportunities.

Supplier Development: The Act encourages MCA to support the development of SMEs and local suppliers, for example by providing training or mentoring.

Private sector companies participating in procurements will be encouraged and incentivised to put social and environmental benefits at the heart of their proposals. Bidders demonstrating the greatest social value envelope by supporting this agenda will score the highest.

It is also [Government policy](#) to create opportunities for small firms and encourage SMEs to participate in public procurement. As part the MCA's transparency obligations and strategy to drive regional employment opportunities and skills, a pipeline of opportunities will be available to encourage responses from a wide variety of organisations, differing in scale and structure.

Apprenticeships and skills

It is [Government policy](#) that public procurement of contracts with a full life value of £10 million and above and total duration of 12 months and above should be used to support local skills development.

For contracts within this scope, MCA will consider whether apprenticeships and skills development are sufficiently linked with the subject matter and embed appropriate requirements in the procurement process and contract delivery.

These considerations and any specific requirements will therefore be covered within the detailed procurement documentation sent to suppliers to confirm how this will be supported/addressed within their responses.

Procurement Rules

The Government's transparency ambition focuses on creating greater visibility of public procurement to help the public understand, for example, how much money the public sector spends on purchasing goods and services, which contracts finished on time and on budget – and which did not – the true lifecycle of contracts, pipelines of future work, which companies have been excluded from procurement due to fraud, corruption or persistent poor performance, and who is really benefiting from public money.

Failure to publicise all requirements within the Procurement Act 2023 appropriately could amount to a breach of the procurement rules and may put the MCA at risk of legal challenge.

See Appendix 1 for a full list of transparency requirements and frequency across the commercial lifecycle.

The Public Procurement (Agreement on Government Procurement) (Thresholds) (Amendment) Regulations 2023 (“**the Regulations**”) introduced revised financial thresholds for the procurement of public contracts which are commenced on or after 1 January 2024..

Table 3: Current thresholds inclusive of VAT effective from January 2026 (to Dec 2026)

Procurement Act 2023	Thresholds
Supplies and Services	£207,720
Works	£5,193,000
Light Touch	£663,540
Concession Contracts	£5,193,000

Overview of Procurement Procedures

Options in the procurement process exist under the Procurement Act 2023 (PA23). These are outlined below.

Where MCA runs a competitive tendering process, it **must** publish a tender notice (along with associated tender documents) to invite suppliers to submit a tender. Tender notices will also need to contain certain information.

The Open Procedure

Table 2: Procurement Routes PA23 – Open Procedure

Open Procedure
Open advertisement: The contracting authority publicly advertises the procurement opportunity
Any interested supplier can submit a tender
Contracts are awarded based on the most advantageous tender (MEAT), considering factors like price, quality, and social/environmental considerations.

The Competitive Flexible Procedure

Table 3: Procurement Routes PA23 – Competitive Flexible Procedure

Competitive Flexible Procedure

This is a more flexible approach designed to accommodate a wider range of procurement scenarios. It allows contracting authorities
Tailor the procurement process to specific needs
Use a variety of methods to engage with suppliers
Explore innovative solutions and encourage competition
Provides greater flexibility for contracting authorities to adapt their procurement processes to the specific requirements of each contract.

Other types of procurement procedures are set out in table 3 below:

Table 4: Procurement Routes PA23 – Other procurement routes

Procedure	Overview
Direct Award	MCA may directly award contracts without a competitive process in certain specified circumstances, although MCA may not directly award to an excluded supplier unless there is an overriding public interest in doing so (e.g. the direct award is necessary to construct, maintain or operate critical national infrastructure). Under PA23 direct awards may be made: • where it is necessary to protect life (subject to further regulations). • for the procurement of prototypes or novel goods or services (as defined in the Act) to a limited scale of production. • where there is only one supplier in the market that is capable of delivering the requirement. • where the requirement is for additional goods, works or services where use of another provider would be incompatible with existing goods, works or services. • extreme urgency; and Any Direct Award route should be discussed with the Commercial Lead and an MCA Exemption Form should be completed and approved by the Monitoring Officer An Award notice must be published prior to signing contracts
Dynamic Markets	A dynamic market is designed to be used as a mechanism for repeat procurements. Unlike a framework agreement, a dynamic market is open for applications throughout its term and

Procedure	Overview
	there is no limit to the number of applicants that can be admitted. There is no restriction on the use of a dynamic market to commonly used, commoditised goods. MCA can set conditions for membership of the dynamic market, so long as it is a proportionate means of ensuring that members have the legal and financial capacity, and the technical ability to perform the contracts. There are a number of notice requirements that MCA must comply with where a dynamic market is established, which will apply when establishing the market, modifying or ending the market.
Frameworks	The PA23 allows for public contracts to be awarded in accordance with a framework. Where a framework is to be used, MCA can only award an agreement under it following a competitive selection process unless: • there is only one supplier who is party to the framework, or • the framework sets out core terms of the public contract and an objective mechanism for supplier selection. Frameworks must not exceed four years (or eight years for defence or utilities frameworks), unless MCA considers that the nature of the goods, service or works to be supplied under it warrant a longer period. Open frameworks are those which provides for the award of successive frameworks on substantially the same terms. Where a MCA uses an open framework it must provide for the award of a framework at least once during: • the period of three years following the award of the first framework in the scheme, and • each period of five years following award of the second framework.

Publication of Notices

The MCA is required to ensure that any new procurement opportunities above the relevant thresholds are submitted electronically Find a Tender (FTS) where appropriate) in accordance with the Procurement Act 2023 within the timescales set out in the relevant regulations.

The Procurement Act 2023 introduces a new central digital platform that will significantly change how MCA publish information and interact with our suppliers. The key requirements for using this platform are:

Mandatory Use for Certain Notices:

Contract Notices: Most above-threshold procurements will require the publication of contract notices on the platform. This is the primary way to announce procurement opportunities to the market.

Award Notices: When a contract is awarded, an award notice must be published on the platform, informing the public about the winning bidder and contract details.

Transparency Notices: Direct awards and other specific situations require the publication of transparency notices on the platform, explaining the reasons for the non-competitive award.

Planned Procurement Notices (PINs): While not always mandatory, PINs, which signal upcoming procurement opportunities, can also be published on the platform.

Supplier Registration:

Suppliers will register their core business information (financial standing, etc.) on the platform. This "tell us once" approach reduces the need for suppliers to repeatedly submit the same information for each procurement. The platform will be a central hub for suppliers to find procurement opportunities across the MCA.

Publication of Documents:

Tender Documents: MCA will publish tender documents, including specifications, evaluation criteria, and contract terms, on the platform. Other relevant information, such as contract details and award summaries, may also be published on the platform.

Integration with MCA Existing System: The platform will be integrated with the MCA existing procurement systems used by the Commercial Team

See Appendix 1 for a summary of the notices required.

The MCA is required to ensure that any new procurement opportunities above the relevant thresholds are submitted electronically via Contracts Finder (and Find a Tender (FTS) where appropriate) in accordance with the Procurement Act 2023 within the timescales set out in the relevant regulations.

See Appendix 1 for a summary of the notices required:

MCA Thresholds, Approvals and Procurement routes

For new procurement project, the approval process requires that a completed and signed Procurement Request Form and procurement strategy (based on

expenditure levels) are approved by The Commercial Board (and other relevant approval meetings depending on spend thresholds).

The table below defines the procurement process run by the procurer, dependent on the Contract value

If you are purchasing IT Hardware or Software, this must be conducted in accordance with the IT Policy.

Table 6: Approval Requirements

Value of Procurement	Approvals & Documentation Req	Procurement Route
<£500		Purchasing Card where available
£501 - £15,000	Approval by Budget Holder Add to Contracts Register	1 written quote - standard MCA T&Cs no derogations away from standard MCA T&Cs
£15,001 - £29,999	Approval by Budget Holder Add to Contracts Register	3 written quotes or applicable framework - standard MCA T&Cs no derogations away from standard MCA T&Cs
£30,000 - £206,999	Engage with Senior Commercial Lead Subject to Budget Holder, Head of Commercial & Head of Finance Approval	3 written quotes or applicable framework Advertise via Central Digital Platform (Find a Tender (FTS)) >£30,000

Value of Procurement	Approvals & Documentation Req	Procurement Route
£207,000+	Engage with Senior Commercial Lead Subject to Commercial Board Approval Prepare Procurement Strategy Complete Procurement Request Form Complete Key Decision Paper Complete Contract Award Report (post procurement) Add to Contracts Register in Atamis Add to Central Digital Platform (Find a Tender (FTS)) final contract & award	Advertise via Central Digital Platform (Find a Tender (FTS)) Framework or applicable route
Legal Services Requirements	As a standing exemption to the normal West of England Combined Authority practice, there is no requirement to complete a Procurement Request Form or Contract Request Form when raising a Purchase Order for external legal services. Officers in the relevant service area are responsible for raising the Purchase Order against their service budget. The procurement of all external legal services, from supplier selection to contract award. Is managed by the West of England Combined Authority Legal Team.	

Expenditure Approvals

Approval from the relevant spend approvals meeting is required at the key points through the Commercial Lifecycle i.e. Approval to spend, Procurement Strategy (where relevant) and Contract Award (prior to commitment/contracts being signed).

The Commercial Team will be able to advise what documentation for approval should be sought, dependent on project value.

Spending powers & compliance with policies

Whenever the MCA is spending money, it first needs to consider if the expenditure is consistent with

- its functions as a public body and internal governance (such as any existing financial authority)
- any applicable external legislation
- budget available to undertake the activity
- whether the planned project or activity delivers the objectives as set out within the MCA Business Plan priorities
- confirming this is the best use of public funds and value for money can be delivered

Anyone procuring goods, services and works on behalf of MCA should comply with the legislation and policy that governs the award of contracts by public bodies including:

- [The Procurement Act 2023](#)
- [The Public Services \(Social Value\) Act 2012](#),
- [The Equality Act 2010](#),
- [Modern Slavery Act 2015](#)
- [HM Treasury 'Managing Public Money'](#),

Whichever compliant procurement process is followed it needs to be fair, open and transparent. The MCA should be aware of the minimum timescales under the Procurement Act 2023 and need to ensure that all suppliers are given sufficient time to respond that is proportionate to the complexity of the requirement.

Award of contracts without advertising (Exemptions or Direct awards)

PA23 includes circumstances in which a contract may be awarded without advertisement (i.e. an exemption).

Decisions to use an exemption must be robust, evidenced and with a clear audit trail. An unlawful use of an exemption may increase the risk of successful challenge against the CA under the PA23.

Use of any exemption must only be undertaken with support from the Commercial Team and Legal Services so that they can ensure that the proposed arrangements fall within the exemptions and are reflected in the contractual arrangements.

It is expected that Direct Awards will be used in very limited circumstances and by exception. Prior discussion and advice must be sought from the Commercial Team if it is intended to use a Direct Award.

Should there be a need for approval for a Direct Award, a Procurement Request Form with robust supporting justification must be reviewed, recorded and reported to the Commercial Board. This could result in the request being rejected and an alternative competitive process and / or market benchmarking undertaken.

Any retrospective Purchases and Actions such as Retrospective Supplier Setups would be deemed non-compliant in circumstances where a contractual obligation with a supplier has been entered into either before spending approvals have been sought, a suitably authorised contract has been signed or before a PO has been issued.

All cases of non-compliance will be reported to the Commercial Board and then reported quarterly to CLT.

Full records of Direct Awards must be maintained to support the annual audit of the Commercial Team.

Documents related to a procurement project are also subject to the Freedom of Information (FOI) Act and may be disclosable to a third party if requested. This includes all emails, notes (formal and informal) and correspondence.

Use of Framework Agreements and Dynamic Markets

Use of framework agreements or existing Dynamic Markets may offer a value for money sourcing option as they are quick and easy to use.

If an appropriate and legally compliant framework has been set up, MCA should consider and use this framework in the first instance for the procurement of its goods, supplies and services. Should this not be suitable for the services required, or greater value can be achieved from an MCA competition, then this is permissible.

A framework agreement is legally defined as an agreement between one or more contracting authorities and one or more economic operators, the purpose of which is to establish the terms governing contracts to be awarded during a given period, in particular with regard to price and, where appropriate, the quantity envisaged. Where available, mini competitions should be run to ensure maximum value for money.

Purchases under framework agreements or Dynamic Markets can be used for procurements both below and above the thresholds and may shorten procurement timescales considerably while remaining compliant with the PA23.

Pilots

All pilots must be undertaken in accordance with this policy.

It may be that a pilot for the supply of goods and services is preferred as a proof of concept. Pilot are considered in the same way as any other procurement and, as such, before being undertaken, consideration and appropriate planning should be given to:

- [The value of the pilot](#)
- [Its purpose](#)
- [The anticipated outcomes](#)
- [Success and evaluation criteria, reporting outcomes and pilot deliverables](#)
- [The full expenditure and commercial impact/plans that will be incurred if MCA proceeds to roll out the product/service after its conclusion.](#)

The pilot should be conducted in a manner that allows and encourages the identification of a range of acceptable solutions or options so that should the decision be taken to roll out the product/service after the pilot concludes, a new tender may be undertaken through an appropriate procurement route.

Care should be taken to avoid the development of relationships with a particular party or parties which could hinder a fair and open process or limit competition. It cannot be assumed that the incumbent supplier will undertake any extension of a pilot, and this should be made clear at the start of any procurement. The contract must include termination provisions to allow the CA to exit from the pilot contract before costs escalate above the threshold where tendering should have occurred.

Where the value of a pilot contract is below the threshold to undertake formal tendering, and is therefore awarded after receiving quotes rather than formal tenders,

If after a full evaluation, it is decided that the pilot has been a success and will be extended, a new procurement strategy and spend approvals, appropriate to the anticipated contract value, must be submitted, and following appropriate approvals a new procurement undertaken.

Most Advantageous Tender

The Procurement Act 2023 requires that contracting authorities shall base the award of public contracts on the most advantageous tender assessed from the point of view of the strategic priorities within the MCA.

Beyond Price: The shift from "Most Economically Advantageous Tender" (MEAT) to MAT signals a move away from solely focusing on price. While cost remains a factor, it is now explicitly balanced with other important considerations.

Value for Money: MAT emphasises achieving the best *value* for money, which encompasses a broader range of factors than just the lowest cost.

Transparency: The award criteria and assessment methodology must be clearly defined and communicated to tenderers in advance, ensuring a transparent and fair competition.

Conflicts of Interest

All employees, staff (including interim workers) and consultants involved in any procurement on behalf of the MCA must ensure that they are aware of and comply with this policy in terms of identifying, declaring, recording and managing conflicts of interest and policy breaches.

Conflicts of Interest Declarations should be completed (managed by the Commercial Team) at the start of each project and during key milestones (i.e. when bids are received). All participants in the procurement and contracting processes must comply with this requirement regardless of the value of the procurement.

The Procurement Act 2023 places a strong emphasis on managing conflicts of interest in public procurement. Here are the key elements related to conflicts of interest within the Act:

Duty to Identify and Review:

Contracting authorities have a proactive duty to identify and keep under review any actual or potential conflicts of interest related to a covered procurement. This applies throughout the procurement process, from planning to contract management.

Definition of Conflict of Interest:

The Act defines "interest" broadly, including personal, professional, or financial interests, whether direct or indirect. A conflict of interest exists if a person acting for or on behalf of the MCA, or a Minister acting in relation to the procurement, has an interest that could potentially compromise their impartiality. Anyone who influences a decision related to the procurement is considered to be "acting in relation to the procurement" and is therefore subject to conflict of interest rules.

Duty to Mitigate:

Contracting authorities must take all reasonable steps to ensure that a conflict of interest does not give a supplier an unfair advantage or disadvantage. Mitigation steps can include requiring a supplier to take certain actions, such as implementing internal safeguards or providing declarations.

Mandatory Exclusion:

If a conflict of interest gives a supplier an unfair advantage, and that advantage cannot be avoided or the supplier refuses to take necessary steps

to address it, the contracting authority *must* exclude the supplier from the procurement.

Conflicts Assessment:

Before publishing certain notices (e.g., tender notice, transparency notice), the contracting authority must prepare a conflicts assessment.

This assessment must detail any identified conflicts of interest, potential conflicts, and the steps taken to mitigate them. It must also address situations where there might be a *perception* of a conflict of interest, even if one doesn't actually exist. The conflicts assessment must be kept under review and updated as needed.

Transparency:

Contracting authorities must confirm in relevant notices that a conflicts assessment has been prepared and revised as required. This promotes transparency and public trust in the procurement process.

Consequences of Non-Compliance:

Failure to properly manage conflicts of interest can lead to legal challenges, reputational damage, and even accusations of fraud or corruption.

Intellectual Property (IP) Management in Procurement

Identification, management and exploitation of IP in procurement projects shall be considered and reviewed with Legal advice where relevant.

All commercial opportunities to generate revenue streams should be considered and the cost benefit analysis undertaken with support from the Commercial team.

Contract Award & Implementation

Above Thresholds there are strict rules on how to debrief suppliers including a Mandatory 10-day Standstill Period prior to confirming Contract award.

The standstill period of eight working days applies from the day a contract award notice is published. This means that once the MCA has decided on the winning bidder and has published the contract award notice, the standstill period begins. Unsuccessful bidders have eight working days from this publication date to challenge the decision.

However, there are exceptions to this rule. The standstill period may not apply in cases of extreme urgency or where a contract is awarded under a framework agreement.

The MCA may only enter into contracts within the scheme of delegation and must comply with:

- [MCA internal and external financial approvals process; and](#)

- [Procurement rules and other Statutory Provisions](#)

Post contract award, agreed contract management controls and measures must be in place. As part of robust contract management, it is vital the contract achieves its objectives and future benefits.

It is critical to the success of the organisation, that contracts are managed in a structured and planned way. The MCA has the responsibility to manage contracts and drive collaboration and integration across the supply chain to ensure all projects and programmes are delivered on time and within budget. It is critical that proportionate and effective contract management is applied which follows the guidance as set out with the MCA's Contract management Framework.

Contracts will be tiered according to the assessment made from the pipeline through to the procurement outset, based on three criteria: value, complexity and level of risk, which in turn will determine the level of contract management applied to each contract.

This approach follows Government Commercial Function best practice and guidance⁷. The tiering is as follows:

- Gold Contracts: Critical to the MCA in delivering strategic objectives, service obligations and normally high value and / or risk
- Silver Contracts: Less strategically important contracts, however they remain critical to manage well due to the services provided due to considerations of value, risk or complexity
- Bronze Contracts: Commodity or transactional contracts, that carry lower levels of risk and complexity but can still be high in value

As part of any contract management plan (for Gold contracts), there must also be both formal and informal communications to manage the relationship, as appropriate, together with a method of capturing the views of the service users/interested stakeholders including feedback to them on the service performance. Contracts will be performance managed as defined by the contract tiering, Key Performance Indicators will be developed and tracked as part of the contract management plan, ensuring service is delivered in line with the contract obligations through:

- Performance management framework is in place which allows the supplier to meet and exceed performance measures
- Service levels are defined and agreed, linked to the contract purpose (need) and are fully understood by the supplier and tracked by MCA

7

https://assets.publishing.service.gov.uk/media/5d35940240f0b604d21a892a/Contract_Management_Professional_Standards_v2.pdf

- Supplier performance is set up to be assessed by clear and understood metrics

The contract management plan will include, but not be limited to:

- Defining the roles & responsibilities of the contract management team:
- establishing the risk and issues log as part of the contract management risk approach
- Contingency options
- Establishing an exit / transition plan
- Ensuring the processes and tools to support the effective contract administration are in place, to monitor and manage the contract performance
- Set out a high-level plan for re-procurement or contract extension where this may be applicable

Roles & Responsibilities for managing contracts within MCA should be clearly defined, agreed then allocated in advance of the contract commencing, following these high-level principles:

Table 7: Contract Roles & Responsibilities

Role	Responsibilities
Contract Business Manager	Day to day operational responsibility for performance managing the contract on behalf of MCA in line with the contract management framework principles They are responsible for contract management plan development & implementation, risk management, supplier performance measures, day to day supplier engagement, reviews, record management, contract changes
Contract Business Owner	Accountable for the delivery of the contract on behalf of MCA with authority and responsibility from wider project oversight & reporting They are accountable for implementing contract management plan, oversight of risk management, supplier performance measures, supplier engagement, reviews, governance, and controls, approving contract changes
SRO	Accountable for a contract delivery and meeting its objectives, ensuring the contract and the projected outcomes meet and / or exceed the required benefits

	as set by the MCA in order to deliver strategic programme targets and objectives
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Contract Variations or Modifications

The rules on variations or modifications of contracts apply to all contracts to which the Procurement Act 2023 applies.

Sections 74 to 78 of the Procurement Act 2023 contains a list of variations or modifications that may be made without a new procurement procedure.

Additionally, Schedule 8 of the Act provides further details on permitted modifications, offering additional flexibility.

Contract Change Notice: Before modifying a public contract, MCA must generally publish a Contract Change Notice. This notice informs the market about the intended modification and allows potential bidders to express interest.

Permitted Modifications: Certain modifications, such as those arising from corporate restructuring, can be made without the need for a Contract Change Notice.

Substantial Modifications: If a modification is deemed substantial, it may require a full new procurement process. The Act provides specific criteria for determining whether a modification is substantial.

MCA employees and staff seeking to make any contract variations or modifications should always seek advice regarding what can be classed as permissible from the Commercial and Legal Teams

For an existing contract to be extended or rolled forward without advertising, the option for that extension must be:

- clearly stated in the contract
- the possibility of extension must have been notified to the market as part of the process to award the original contract.

Policy Non-Compliance

The MCA officers must comply with this policy and the associated procedures at all times together with delegation of authority and financial budget responsibilities. Failure to comply may result in disciplinary action in accordance with the MCA disciplinary procedure.

MCA employees and staff are encouraged to be proactive in relation to the policy compliance and to raise compliance issues in early stages of the procurement process to prevent policy and legal non-compliance.

Policy management

This document will be made available to all MCA employees and staff via the MCA SharePoint site. A notice will be sent to all MCA employees and staff notifying them of the release of this document, with supporting group sessions to assist communication and understanding.

Appendix 1

Procurement Act 2023 Notices & Transparency

Type	Reference	Requirement of Notice
Pipeline Notice	UK 1	Mandatory for orgs spending <£100 million 18 month forward look
Preliminary Market Engagement Notice	UK 2	Mandatory where engagement is anticipated or has taken place (or, explain intender notice why it hasn't been published)
Planned Procurement Notice	UK 3	Optional/Best Practice Advises the market of an upcoming procurement.
Tender Notice	UK 4 Tender Notice	Mandatory (for a competitive procedure) Publish when undertaking an open or competitive flexible procedure (incl. frameworks) or procuring a regulated below-threshold contract.
Transparency Notice	UK 5	Mandatory for a Direct Award. Publish prior to award when undertaking a direct award.
Contract Award Notice	UK 6	Mandatory to communicate the outcome of a procurement and commences the standstill period , where applicable, prior to awarding a contract under open or competitive flexible procedure.

Type	Reference	Requirement of Notice
Contract Details Notice	UK 7	Mandatory (Publish details of the awarded contract) inv. Regulated below-threshold contracts and those procured by direct award.
Contract Payment Notice (Will not come into effect when the Act commences.)	UK 8	Mandatory – Publish details of individual payments over £30,000 made under contract (quarterly)
Contract Performance Notice	UK 9	Mandatory – Publish KPI scores for contracts +£5 million (annually). Publish within 30 days of supplier poor performance / breach of contract.
Contract Change Notice	UK 10	Mandatory – Publish prior to qualifying modification taking place, including for contracts +£5 million,
Contract Termination Notice	UK 11	Mandatory – Publish when a contract is “terminated” for whatever reason (expiry, early termination, etc.)
Procurement Termination Notice	UK 12	Mandatory – Publish when a procurement has been ended without awarding a contract.
Dynamic Market Notice	UK 13 to UK 16	Mandatory - Publish and update when advertising, establishing, changing or terminating a dynamic market.
Payments Compliance Notice (Will not come into effect when the Act commences.)	UK 17	Mandatory – Publish details of performance against 30 day payment terms (twice annually)

Appendix 2. Financial obligations & Purchase Orders

- 10. Senior Managers must ensure that requests for quotations and invitations to contract with the MCA comply with the MCA's Contract Standing Orders.***
- 11. The RO for each contract shall ensure that all instructions have been appropriately authorised and issued before the goods are ordered, services requested, or works are undertaken.***
- 12. The RO must obtain appropriate VAT advice in relation to all contracts to provide services to the public to ensure the appropriate VAT treatment is applied.***
- 13. All instructions to suppliers and payment arrangements must be in a form agreed by the Chief Finance Officer or his/her delegated Officer.***
- 14. The Chief Finance Officer must agree arrangements for the financial vetting of prospective contractors.***
- 15. A completed and approved procurement business case is required for any procurement above £50k prior to commencing the next stage. If the procurement is below £50k, evidence should be provided of authorisation by the budget holder.***
- 16. All purchases and contracts must be supported by a purchase order unless an exemption applies. Prior to raising a purchase order, a requisition is raised against either:***
 - a catalogue item; or***
 - a contract;***
- 17. The requisition is approved to commit expenditure by a budget holder after all procurement processes and approvals appropriate to the whole***

life value have been undertaken and received. The official purchase order is generated based upon the requisition and must include:

- 18. A description of the goods, services or works;**
- 19. Quantity and individual price/cost; and**
- 20. A schedule of payment if relevant.**

Official purchase orders are placed on MCA Standard terms and conditions. Any deviations from the application of the MCA Standard Terms and conditions may only be done with the approval of the MCA Legal and the Head of Commercial.